

Economy

The price of pet parenting has gone off leash

18 May 2026

Key takeaways

- Pet ownership is still widespread, yet adoption momentum has cooled over the past year, especially for dogs, according to BofA Global Research. As household budgets face increasing pressure, the pullback suggests affordability is playing a larger role in decisions to take on the responsibility of pet ownership.
- Bank of America credit and debit card data shows that pet store spending varies meaningfully by income and generation, with younger lower-income households trimming spending the most.
- The cost of pet services such as veterinary care continues to rise. This leaves overall pet care far more expensive than it was pre-pandemic, and vet visits have fallen as a result of these higher prices. Plus, increasing clinic consolidation by private equity has contributed to driving prices higher, making it increasingly harder for many pet owners, according to BofA Global Research.

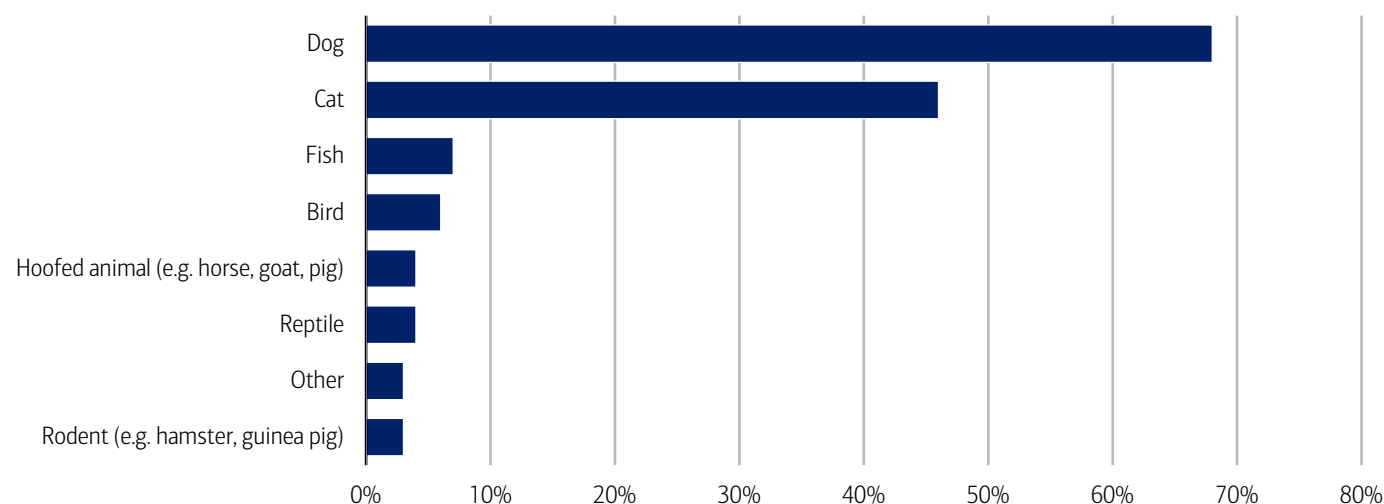
Owning a pet is the cat's meow

The US pet market remains on a steady growth path: 95 million households own a pet (or around 71% of Americans), and spending hit \$158 billion in 2025, according to the 2025 National Pet Owners Survey by the American Pet Products Association. Dog ownership dominates (68%) and is well ahead of other pets over the last few years, according to a survey from CivicScience (Exhibit 1). Cats followed as the second-most prevalent pet (46%), while ownership of fish, birds, and small mammals was far less common.

Yet pet owners are increasingly facing affordability issues when it comes to their furry friends. Spending is distributed across categories including pet food and treats, veterinary care, supplies and over-the-counter medications, and services such as grooming, boarding, insurance and pet sitting.¹

Exhibit 1: Dogs and cats are the most popular pets in terms of ownership

What type of pet(s) do you currently have? (% of respondents with pets)



Source: CivicScience

Note: 78,445 responses from June 1, 2023 to May 8, 2026. See Methodology.

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¹ American Pet Products Association. (2026). *Industry Trends and Stats*. American Pet Products Association.

Consumer pressures trickle down to new pet adoptions, particularly for dogs

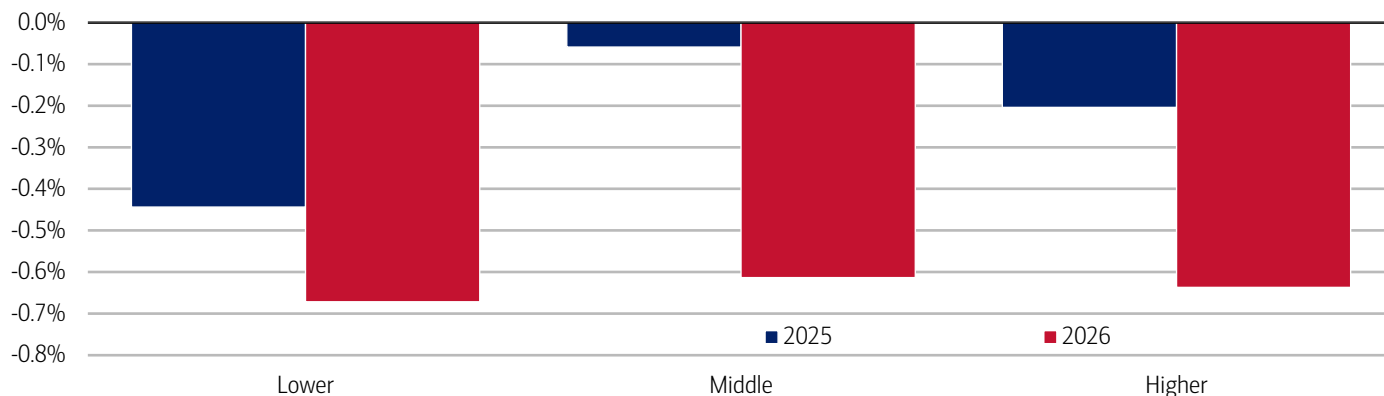
However, tighter household budgets (read more on this in [May's Consumer Checkpoint](#)) appear to be weighing on pet adoptions, according to BofA Global Research. They found adoptions slowed in the first half of 2025, with dog adoptions declining modestly year-over-year (YoY) and those for cats broadly stable. Even though adoption levels remain above pre-pandemic norms, momentum has softened from last year.

Bank of America data corroborates this. Across income groups, the share of households with a pet (see Exhibit 2 Note for definition) has declined over the past two years (Exhibit 2). The sharpest drop was seen among lower-income households.

One caveat to the decline in the share of households with a pet could be that people are no longer shopping at pet specialty stores and may be trading down to general merchandise stores.

Exhibit 2: For the past two years, the share of households with a pet has declined, especially among lower-income households

Households with a pet by income (% change in share, annual)



Source: Bank of America internal data

Note: Households with a pet were identified as those with pet-related spending transactions at either pet retailers or services.

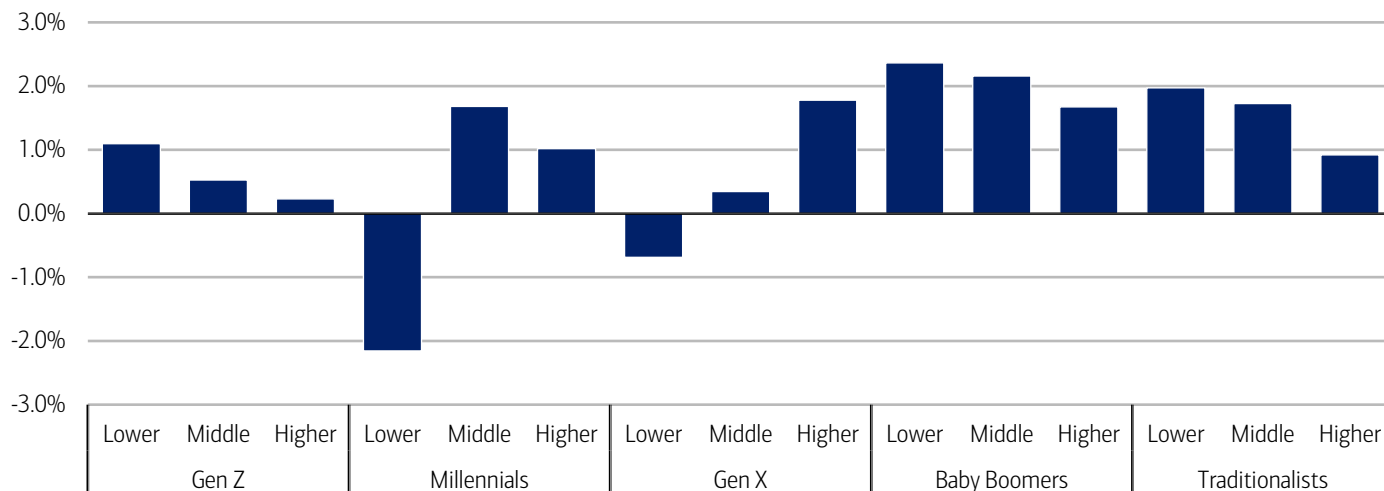
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Younger generations are clawing back on pet purchases

In fact, in April, spending growth by younger generations declined, especially among lower-income households (Exhibit 3). The variation reflects “selective spending” with households adjusting their outlays on discretionary categories (like toys, accessories and supplies) depending on the differences in their budgets. And according to a CivicScience survey, consumers are buying pet food from local grocery stores more frequently than specialty pet stores, likely to save money or avoid a second trip to the pet supply shop.

Exhibit 3: Younger generations and lower-income households have generally reduced pet store spending

Credit and debit card pet store spending per household by income and generation in April (YoY%, 3-month moving average)



Source: Bank of America internal data

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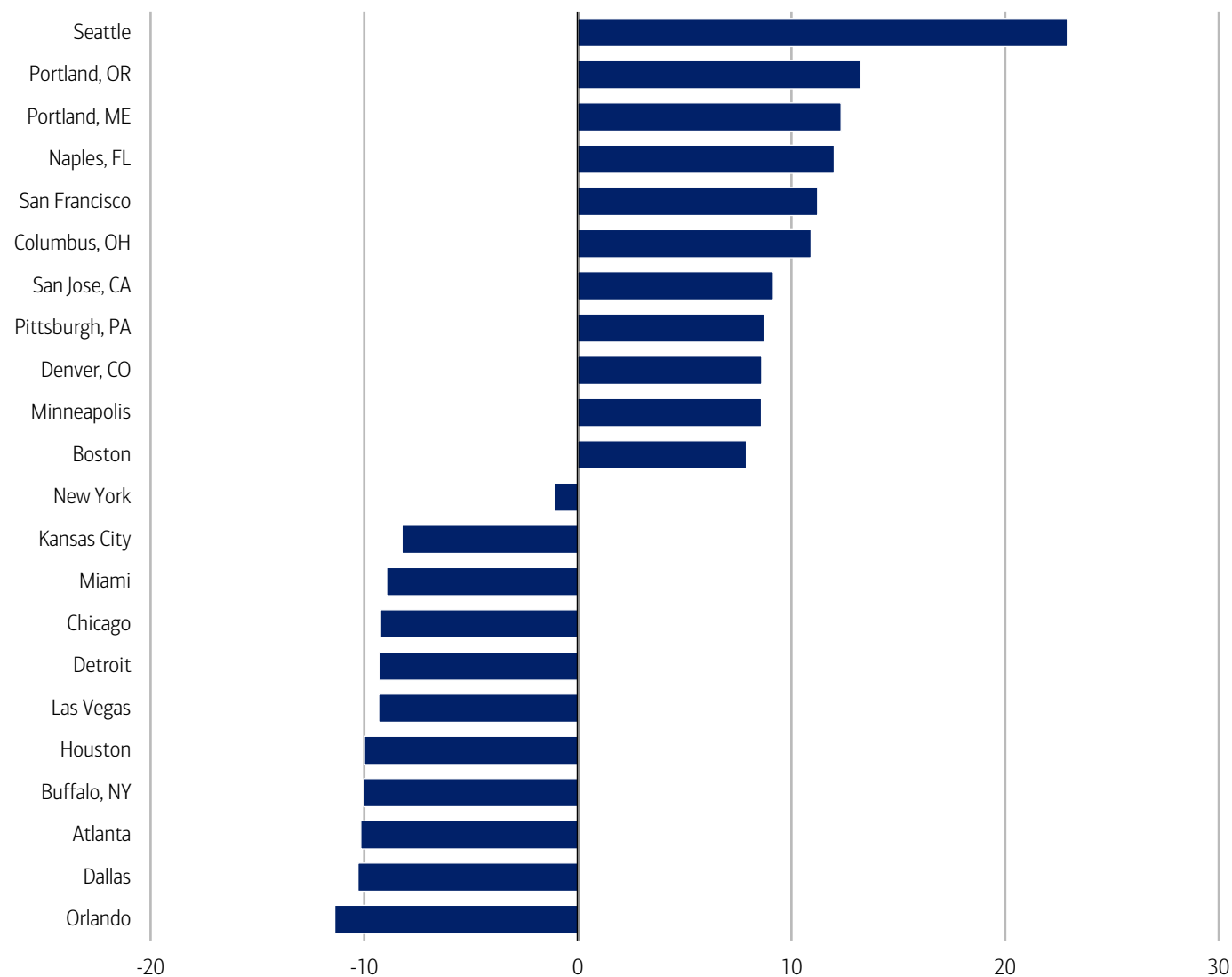
It's raining cats and dogs out west

Yet looking at spending trends by geography shows a more nuanced story. Bank of America card data on pet store, pet insurance and veterinary spending across 20 large core-based statistical areas (CBSAs) relative to the US average shows that Seattle tops the list. Average monthly spending there in the first four months of 2026 was nearly 23% above the US monthly average (Exhibit 4). The two Portlands – in Oregon and Maine – came in second and third.

By contrast, pet spending so far this year is running below the national average in Atlanta, Dallas and Orlando. One explanation may be the South's lower cost-of-living, which likely keeps the overall expense of owning and caring for pets comparatively lower than elsewhere.

Exhibit 4: The West accounts for about half of the top 10 markets where spending is above the US average

Average pet store and pet care (including veterinary and insurance) spending per month relative to US average by CBSA (average January-April 2026, %)



Source: Bank of America internal data

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Vet visits are biting into budgets

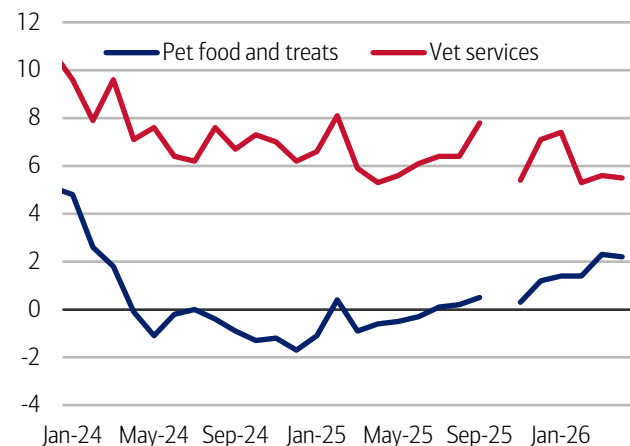
Another major cost of pet ownership that's straining budgets is veterinary care. As shown in Exhibit 5, prices for vet services rose nearly 6% YoY in April, and, according to Bank of America card data, spending at the vet increased more than 4x than that of pet food and treats (Exhibit 6). The latter was up just 1% YoY.

One way in which consumers could be cushioning these costs is with pet insurance, which can help owners spread the costs of pet healthcare. However, the share of pet insurance uptake remains fairly low (read more on this in last year's publication: [Best in show: US pet ownership](#)).

Increasing vet costs contribute to existing consumer price pressures (read more on this in May's [Do consumers have wiggle room to absorb higher gas prices?](#)). With veterinary prices rising faster than wages for some households, many are delaying non-essential pet care like wellness visits, preventative dentistry and elective diagnostics, according to BofA Global Research. In fact, vet visits have declined over the past several years, according to VetSource.

Exhibit 5: Vet services inflation was up 5.5% YoY in April

Consumer price indices for pet food and treats and vet services (monthly, % YoY)



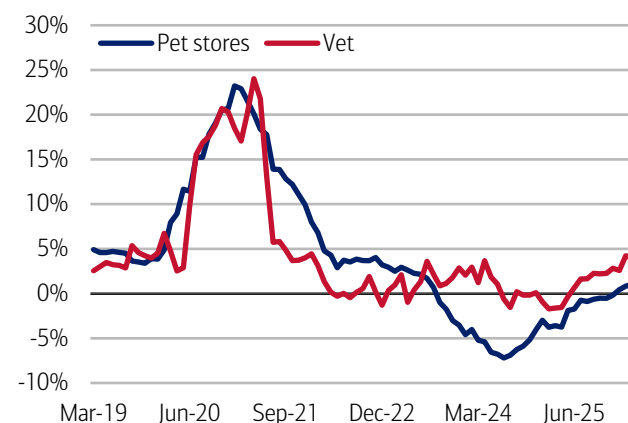
Source: Haver Analytics

Note: BLS did not produce data in October 2025 due to government shutdown

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Exhibit 6: Spending at pet stores was up around 1% YoY in April 2026; vet spending was up almost 4x as much

Bank of America credit and debit card spending per household on vet payments and pet stores (monthly, three-month moving average, % YoY)



Source: Bank of America internal data

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Private equity puts prices in the doghouse

Another primary driver in decelerating vet visits is increasing clinic consolidation, according to BofA Global Research. According to a 2024 American Veterinary Medical Association report, approximately 25-30% of US veterinary practices (representing roughly 75% of specialty clinics) are now owned by large corporations or private equity firms.

Such consolidation can erode competition, elevate prices and weaken service quality, ultimately reducing consumer choice, according to BofA Global Research. And if current macro headwinds persist, veterinary pricing will become increasingly harder for everyday pet owners to absorb, accelerating pressure on visit volumes through deferred care.

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Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

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Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows:

1. Gen Z, born after 1995
2. Younger Millennials: born between 1989-1995

3. Older Millennials: born between 1978-1988
4. Gen Xers: born between 1965-1977
5. Baby Boomer: 1946-1964
6. Traditionalists: pre-1946

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

CivicScience survey includes 78,445 responses from June 1, 2023 to May 8, 2026. This is an ongoing survey.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

Summer travel 2026: Resilient, but uneven

13 May 2026

Key takeaways

- Summer travel plans appear resilient overall, despite higher oil and gasoline prices, though consumers are adjusting at the margin. According to the 2026 Bank of America Summer Travel Outlook, around 30% of respondents say higher gas prices won't change their summer travel plans, but others are looking to take fewer trips or cut back on items like accommodations.
- However, a "K-shaped" pattern appears to be emerging this travel season. Lower-income households are much more likely to have no travel plans (nearly 40%), and Bank of America card data shows their travel-related spending is down year-over-year (YoY) so far in 2026. By contrast, middle- and higher-income households are seeing stronger travel spending.
- Domestically, California, Florida, Texas and New York are the top states to visit. Internationally, travelers favor North America (ex US) and Europe.

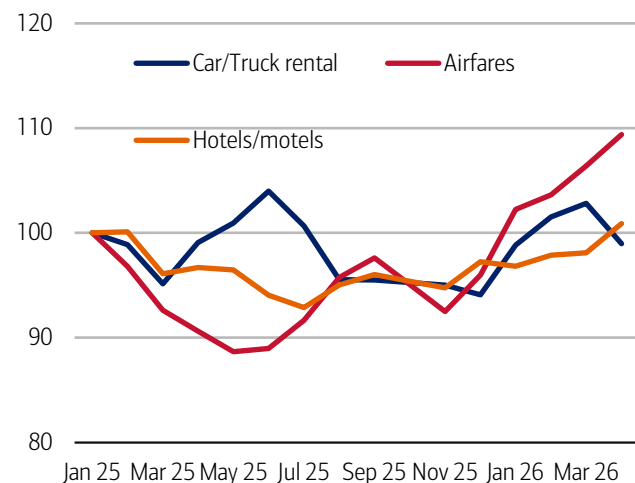
Will higher fuel prices impact summer travel plans?

The sharp rise in oil prices in March – by over \$30 a barrel – quickly fed through to higher gasoline prices at the pump for Americans. Additionally, higher oil prices put significant upward pressure on airfares, with the consumer price index (CPI) measure of fares rising 6% between February and April (Exhibit 1).

With higher costs for both driving and flying, are consumers cutting back on their summer vacation plans? The [2026 Bank of America Summer Travel Outlook](#) (conducted between March 26 and April 3) provides useful insights. For one, around 30% of people who were asked “How have gas price changes affected your travel plans this summer?” responded by saying they are not changing their plans at all (Exhibit 2). But while that is “good news,” the survey also highlights that some respondents are planning to make fewer trips, while others intend to trim their budgets for things like accommodations.

Exhibit 1: The oil shock is showing up in higher airfares

Consumer price indices for select categories (seasonally adjusted, index January 2025 = 100)

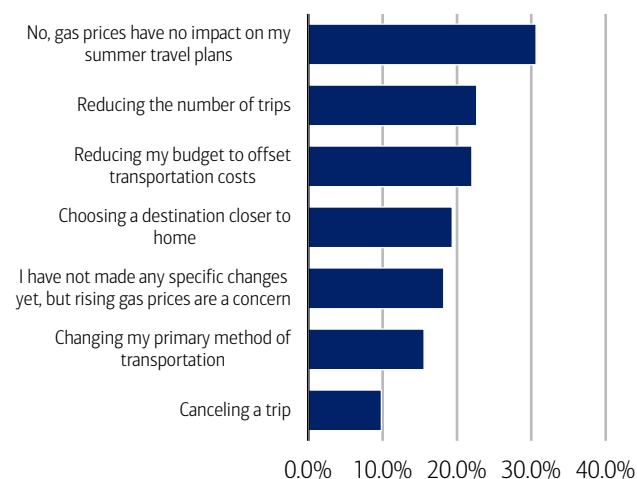


Source: Haver Analytics

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Exhibit 2: Most travelers are adjusting, not canceling, their plans in response to the gas price hike

% responses to “How have gas price changes affected your travel plans this summer?”



Source: 2026 Bank of America Summer Travel Outlook

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Overall, the impact of higher energy prices on summer travel appears relatively limited so far. In our view, it could be that many people have already locked in their plans: 47% of survey respondents said they'd already planned a trip for this summer, up from 38% in 2025 (Exhibit 3). And the overall share planning not to travel this summer is lower in this year's Travel Survey than in 2025.

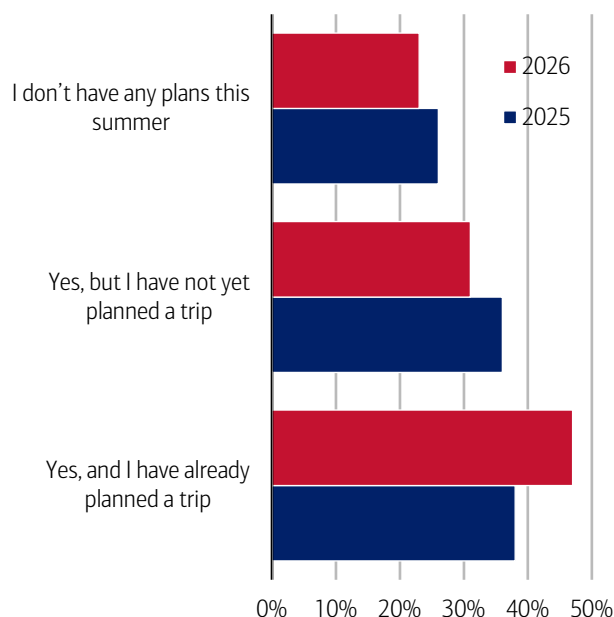
What might explain this relatively positive outlook? In our view, one important factor is that overall consumer spending growth has been strong so far this year. And a key reason for this is that many households received meaningfully larger tax refunds in 2026 than in 2025, thanks to stimulus from the One Big Beautiful Bill Act (OBBBA). Bank of America internal data suggests that many households receiving these refunds have been spending them on airlines and lodging (for more, read our publication: [Consumer Checkpoint: April showers](#)).

But there is a “K” shape to holiday plans

The consumer picture overall, however, masks divergences across income cohorts, which are also evident in the 2026 Travel Survey. Exhibit 4 shows that lower-income households are much more likely to say they don't plan to travel this summer (nearly 40%) and a smaller percentage say they have already made plans. So, in other words, there appears to be a “K” shape in vacation plans in 2026.

Exhibit 3: More respondents had already planned a trip this year than last

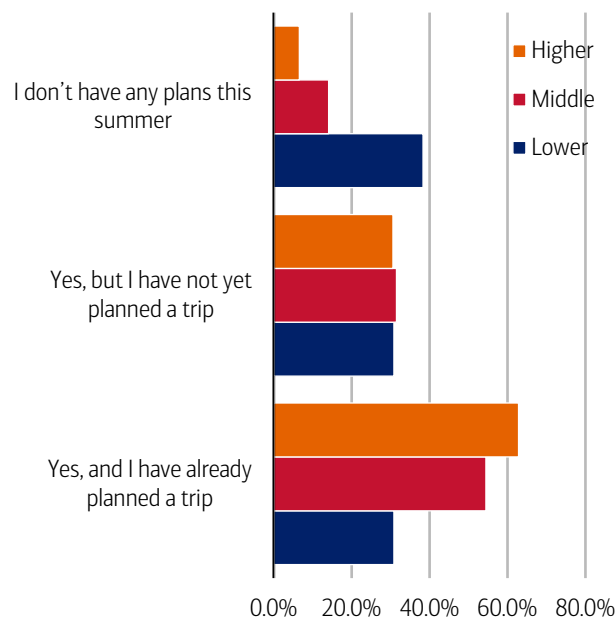
% responding “Are you planning to travel this summer?” in 2025 and 2026 Summer Travel Surveys (%)



Source: 2025 and 2026 Bank of America Summer Travel Outlooks
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Exhibit 4: By income category, lower-income households are less likely to have already booked a trip

% responding “Are you planning to travel this summer?” in 2026 Summer Travel Survey by income (%)

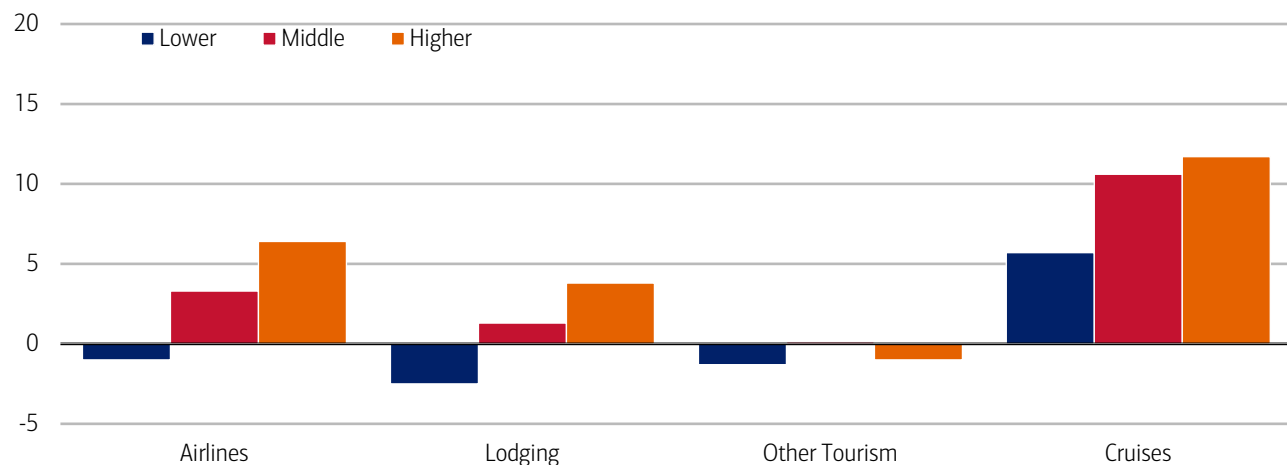


Source: 2026 Bank of America Summer Travel Outlook
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This same “K” shape in travel can also be seen in credit and debit card spending data. In particular, Bank of America internal data on aggregated credit and debit card spending per household reveals a weaker picture for lower-income households than for middle- and higher-income households (Exhibit 5). In fact, nominal year-over-year (YoY) spending growth was negative for lower-income households in airlines, lodging and tourism-related spending from January 1 through April 30. One exception is cruise spending, where lower-income households saw strong growth over the same period, albeit still below that of wealthier households.

Exhibit 5: Across most travel-related spending categories there is a “K” shape, with lower-income spending weakest

Total credit and debit card spending per household on lodging, airlines, select other travel-related categories* and cruises by household income terciles (% change January 1- April 30, 2026, YoY)



Source: Bank of America internal data

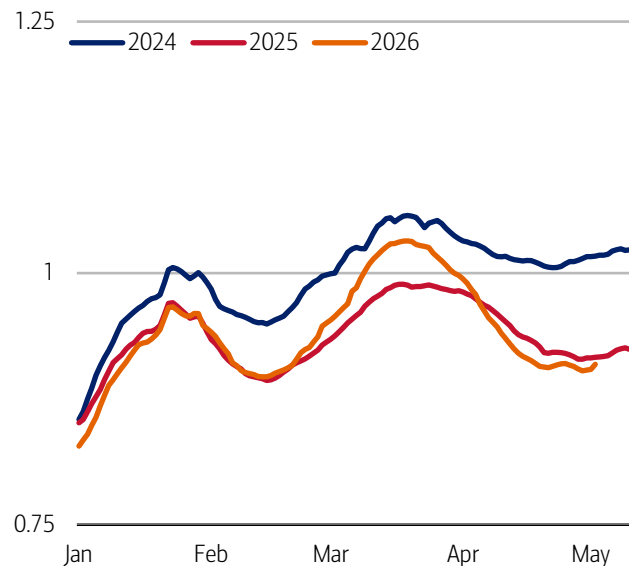
* Motor home and recreational vehicle (RV) rentals, tourist attractions and exhibits, amusement parks, aquariums and zoos.

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One of the likely reasons for rising spending growth on airfares by middle- and higher-income households is simply that the price of flights is rising. Looking at the number of card transactions on airlines suggests that throughout most of 2026, spending growth also reflected strong transaction volumes (Exhibit 6). But more recently in April, volumes appear to have slowed in airline transactions and may also have done so in lodging, too (Exhibit 7).

Exhibit 6: Airline transactions have weakened lately...

Number of credit and debit card transactions per household on airlines (28-day moving average, index January 2024 = 1)

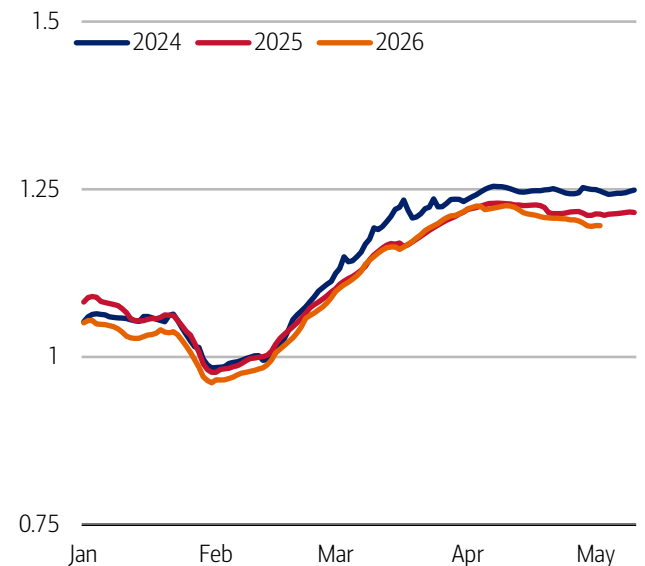


Source: Bank of America internal data

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Exhibit 7: ...possibly also in lodging

Number of credit and debit card transactions per household on lodging (28-day moving average, index January 2024 = 1)



Source: Bank of America internal data

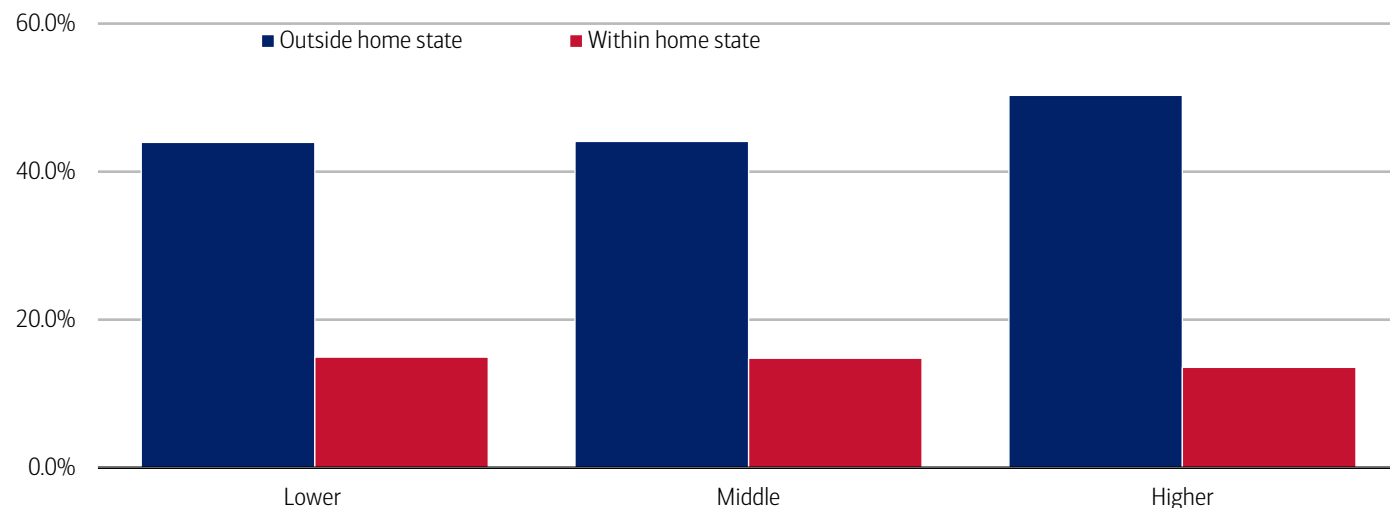
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Domestically, sunshine remains a draw in 2026

Traveling domestically remains the top choice for many households: in the 2026 Travel Survey, over 40% of respondents across all income cohorts said they plan to travel in the US but outside their home state (Exhibit 8).

Exhibit 8: The most common destination among respondents is within the US, but outside their home state

% of respondents planning to travel within the United States by income category (%)



Source: 2026 Bank of America Summer Travel Outlook

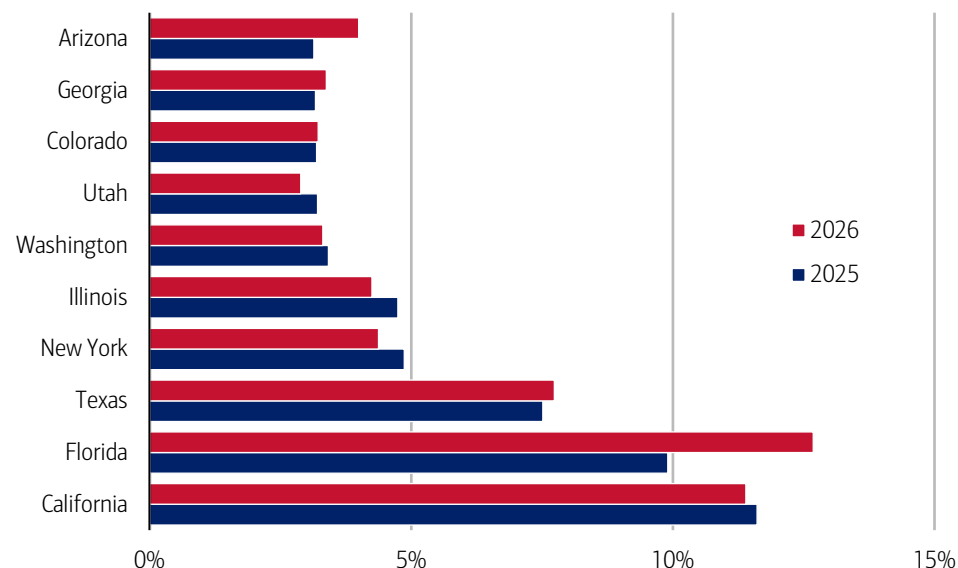
Note: Respondents can pick multiple destinations.

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Where might people go in the US? We use Bank of America internal data from households making brick-and-mortar card transactions more than 500 miles from their home address over 2025 as a proxy for spending while on a “trip.” Using this approach, we find California, Florida, Texas and New York were the top four states last year (Exhibit 9), positions they also occupied in 2024. And looking at the data on travel spending over the first four months of 2026, a similar pattern emerges.

Exhibit 9: Florida and California appear to be popular domestic destinations

Number of households making brick-and-mortar transactions more than 500 miles from home address, highest 10 states as a % of all states for 2025 (full year) and 2026 (first 18 weeks)



Source: Bank of America internal data

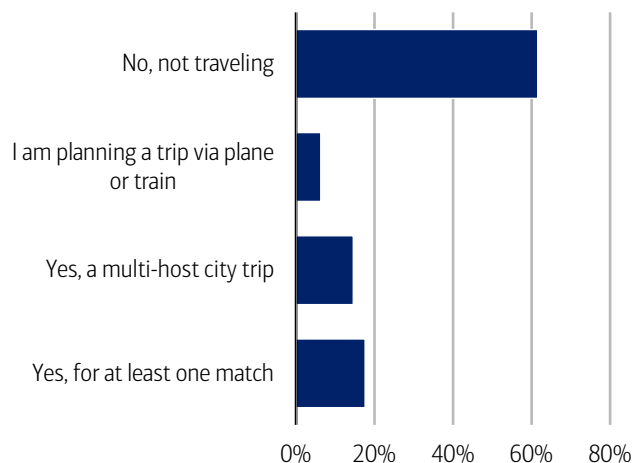
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For some, the FIFA World Cup 2026™ is factored into their domestic and perhaps wider North American travel plans (games are also played in Canada and Mexico). The 2026 Travel Survey finds around 40% of respondents are planning a trip to attend or

experience the tournament (Exhibit 10). Indeed, around 40% of respondents also suggest they would travel to a host city to experience the atmosphere even if they didn't have tickets for a match (Exhibit 11).

Exhibit 10: Around 40% of respondents are planning to experience soccer this summer...

% responses to question, "Are you planning a road trip to attend or experience the 2026 FIFA World Cup™?"

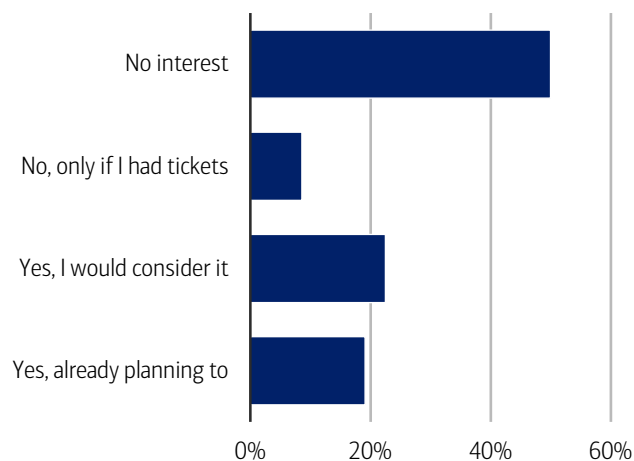


Source: 2026 Bank of America Summer Travel Outlook
Note: Respondents can pick multiple destinations.

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Exhibit 11: ...and some respondents would go to a city to experience the vibe even without a match ticket

% responses to question, "Would you travel to a 2026 FIFA World Cup™ host city to experience the atmosphere, even if you don't have tickets to attend a match?"



Source: 2026 Bank of America Summer Travel Outlook
Note: Respondents can pick multiple destinations.

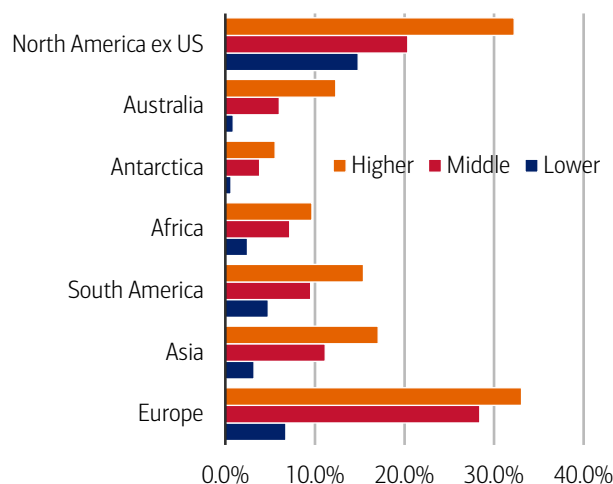
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Overseas, Europe retains the top spot in 2026

While all income cohorts appear to see domestic travel as an option in 2026, it's really around international travel where the "K" shape becomes most apparent. Fewer lower-income respondents in the 2026 Travel Survey say they plan to go abroad and those that do are planning on sticking to North America (Exhibit 12). On the other hand, middle- and higher-income respondents' plans appear to be more varied. North America (excluding the US) is popular, but Europe is a big draw. Relative to the 2025 Travel Survey, Europe has surged in popularity (Exhibit 13).

Exhibit 12: North America (ex US) and Europe are strong draws for vacationers

Responses to "Which continents are you planning to travel to?"

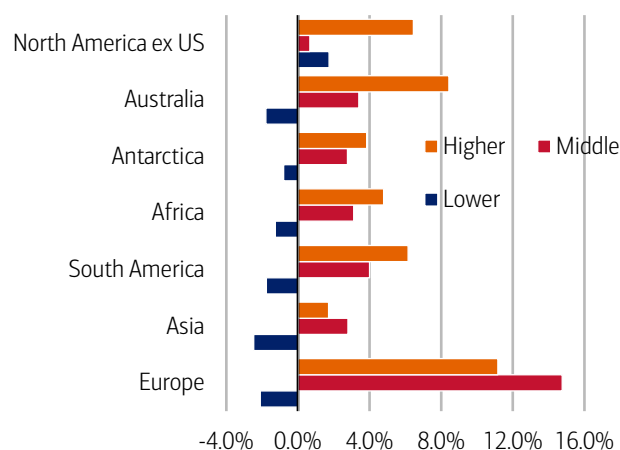


Source: 2026 Bank of America Summer Travel Outlook
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Exhibit 13: Relative to 2025, Europe has become more popular with higher- and middle-income travelers

Responses to "Which continents are you planning to travel to?", change relative to 2025 results (percentage points)



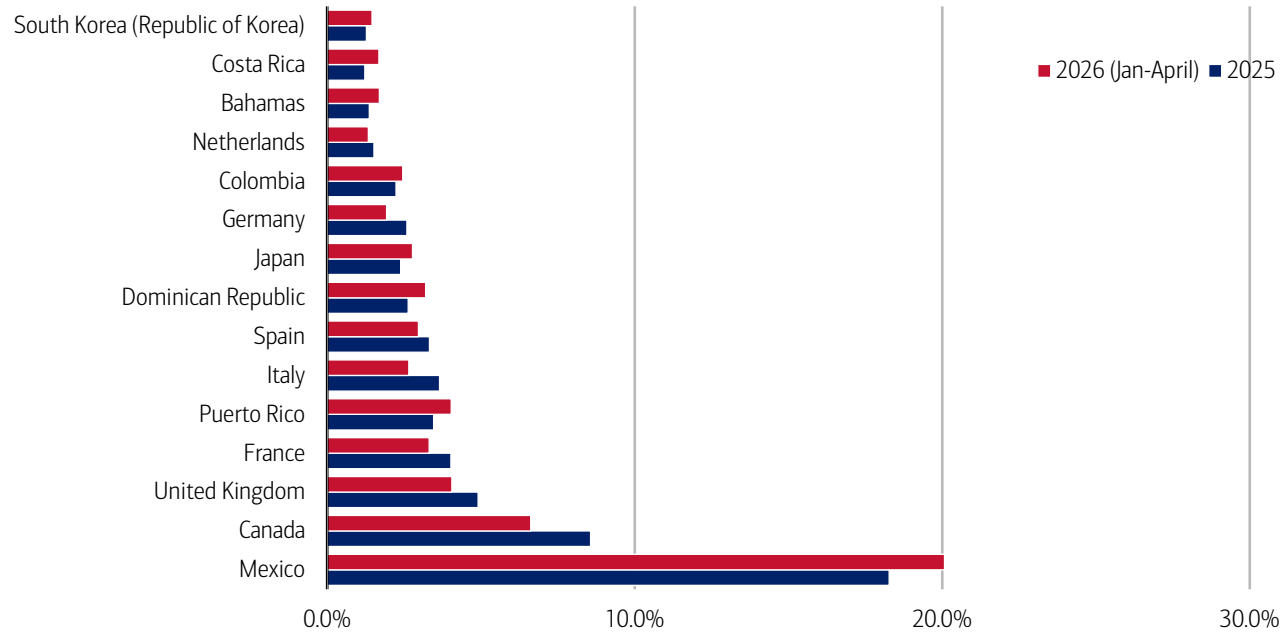
Source: 2025 and 2026 Bank of America Summer Travel Outlooks
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Digging deeper and using Bank of America internal data on customers who have made an in-person transaction outside the US shows that over the first four months of 2026, the top spots in Europe were the United Kingdom, France and Italy. Asian destinations also remain popular, including Japan and South Korea (Exhibit 14).

Exhibit 14: Mexico is popular so far this year

Bank of America credit and debit card customer households making an in-person transaction in specified countries (% share of total)



Source: Bank of America internal data

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Overall, in our view, the 2026 Bank of America Summer Travel Outlook and our internal card data gives the impression that many consumers are fairly reluctant to make big changes to their summer plans despite cost pressures from higher oil prices. One reason is likely that many households appear to have already decided where to go and potentially booked. Another is that the stimulus from the OBBBA may be providing some consumers with an offset to higher costs, at least for now.

But it does appear that travel spending in April may have slowed – highlighting that there are risks that for some consumers the shock from higher gas prices and airfare costs is weighing more heavily on their decision making. This is likely to be the case for lower-income households in particular.

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including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Major grocery categories include sugar and sweets, juices and other non-alcoholic beverages, bakery products, processed fruits and vegetables, fresh fruit and vegetables, coffee and tea, fats and oils, milk, cereal and cereal products, other, cheese, and meats, poultry and fish, Other includes soups, snacks, frozen and freeze-dried prepared foods, and spices, seasonings, and condiments.

Generations, if discussed, are defined as follows:

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Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

In-person debit transactions utilized to analyze time-of-day spending considers debit card transactions where a personal identification number is input to complete the transaction.

The Bank of America 2026 Summer Travel Outlook survey was conducted online between March 26 and April 3. The survey consisted of 2,004 respondents throughout the U.S. Respondents in the study were age 18+ and were representative of the composition of the U.S. Census for age, gender, household income and Census region. Lower, middle and higher household income cuts in the survey were based on quantitative estimates of annual household income before taxes. They are defined as follows: lower-income households: \$0-\$66,000; middle-income households: \$66,001-\$130,000; higher-income households: >\$130,000.

Additional information about the methodology used to aggregate the data is available upon request.

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2026 Bank of America Summer Travel Outlook

Disclosures

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Economy

Consumer Checkpoint: April showers

12 May 2026

Key takeaways

- Spending growth was strong in April, according to Bank of America internal data. Total credit and debit card spending per household rose 4.8% year-over-year (YoY), up from 4.3% YoY in March. Excluding gasoline, card spending was still a strong 4.0% YoY. However, spending growth did slow in April from March across multiple discretionary "nice-to-have" categories.
- The "K" shape in spending and wage growth persists, with higher-income households faring better than other cohorts. And we see signs of this particularly with lower- and middle-income households easing back on discretionary spending in April, while their higher-income counterparts continued to power forward, according to Bank of America internal data.
- Households have some near-term buffers to support their spending, according to Bank of America internal data, but they are uneven. Lower-income households likely have the least capacity to finance spending through credit, while tax refund benefits have skewed towards higher-income households. Still, households appear to have saved around half of their refunds so far, which may have helped to weather higher gas prices.

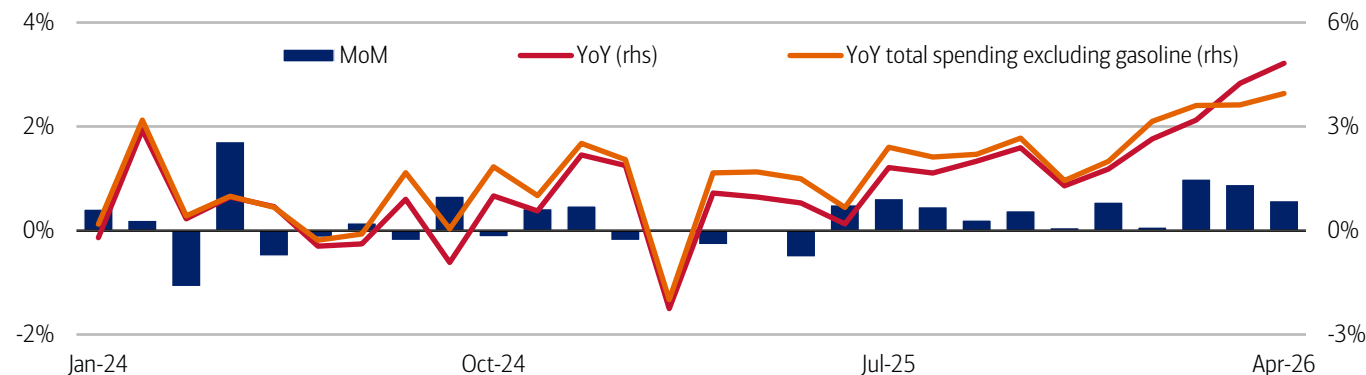
Consumer Checkpoint is a regular publication from Bank of America Institute. It aims to provide a holistic and real-time estimate of US consumers' spending and their financial well-being, leveraging the depth and breadth of Bank of America proprietary data. Such data is not intended to be reflective or indicative of, and should not be relied upon as, the results of operations, financial conditions or performance of Bank of America.

With or without gasoline, spending was strong in April

Total credit and debit card spending per household increased 4.8% year-over-year (YoY) in April 2026, the strongest monthly growth in the last three years. This followed the already solid 4.3% YoY increase in March (Exhibit 1). While higher gasoline prices boosted spending, spending excluding gas still rose 4.0% YoY – the fastest pace in three years and up from 3.6% last month. Seasonally-adjusted (SA) spending per household increased 0.6% month-over-month (MoM) in April, easing from the solid 0.9% MoM increase the month before. Excluding higher gasoline spending, the MoM rise in total spending was a slightly more muted 0.5%, but an improvement from the nearly flat ex-gas growth seen in March.

Exhibit 1: Spending growth, both including and excluding gasoline, continued to strengthen YoY in April

Total card spending growth per household, based on Bank of America aggregated credit and debit card data (monthly, MoM%, SA) and (monthly, YoY%, non-SA, right-hand side (rhs))



Source: Bank of America internal data

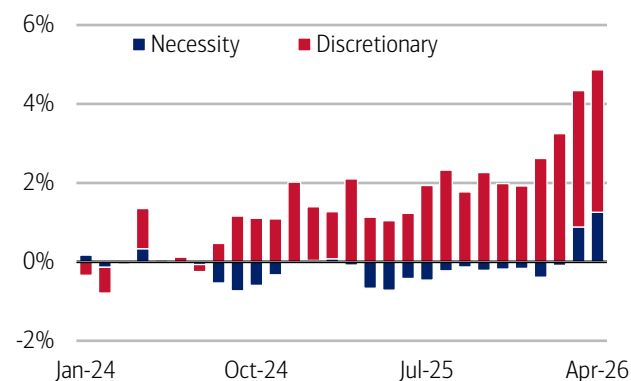
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Despite the rise in gasoline prices, discretionary spending is still contributing more to YoY total card spending growth than outlays on necessities. In fact, before March, necessity spending had not made a meaningfully positive contribution to spending

growth since August 2024 (Exhibit 2). And while March and April have both seen upward contributions from necessities to overall spending growth, with a 1.1 percentage points (pp) contribution in April, the big picture remains that services and retail (excluding gas) are still making the largest contributions to growth (Exhibit 3).

Exhibit 2: Before March 2026, discretionary spending contributed all of the positive growth in spending since April 2024

Contribution to YoY total credit and debit card spending growth by category, based on Bank of America card data (monthly, SA, percentage points contribution)

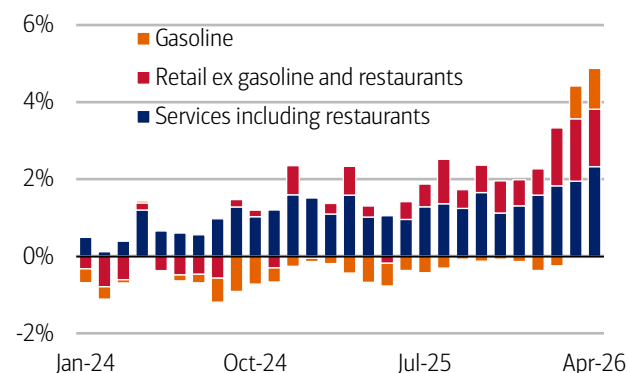


Source: Bank of America internal data

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Exhibit 3: Services accounted for the majority of spending growth over the past two years

Contribution to YoY total credit and debit card spending growth by category, based on Bank of America card data (monthly, SA, percentage points contribution)



Source: Bank of America internal data

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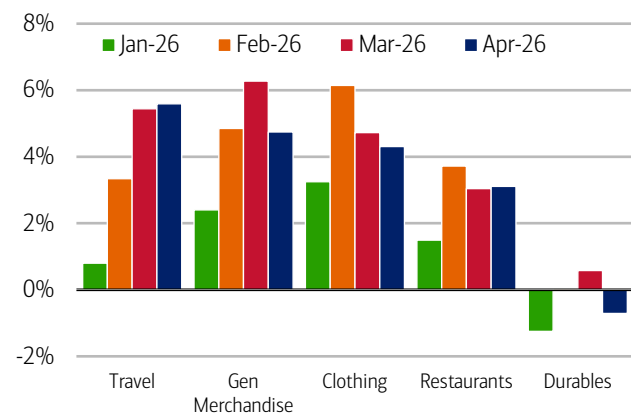
Within discretionary spending, YoY spending growth on travel and restaurants improved slightly in April, while general merchandise and clothing saw slowing momentum relative to March (Exhibit 4).

Bank of America internal card data on transactions can give us some idea whether strong spending growth is reflecting rising volumes or higher prices. General merchandise, travel (airline and lodging), restaurants and clothing have all shown increasing YoY growth in the number of transactions since the beginning of the year (Exhibit 5). Notably, though, transaction growth in April has flattened for travel and restaurants from the prior month.

However, in travel and clothing, spending growth has risen noticeably faster than transactions. In our view, this likely reflects increased prices in these areas from both the recent oil price shock and earlier tariff hikes. In fact, while the YoY growth in transactions was still positive for travel, it was just above zero for clothing in April. This may reflect not just higher prices but also a possible shift in consumers purchasing their apparel through different channels, such as big box stores (general merchandise), in order to save money. Additionally, some of the growth in general merchandise spending and transactions may also reflect consumers pivoting their necessity spending to these types of retailers as opposed to more discretionary purchases.

Exhibit 4: Spending growth slowed for general merchandise and clothing in April, while durables decreased

Spending per household, based on Bank of America card data, across select categories (monthly, SA, YoY%)



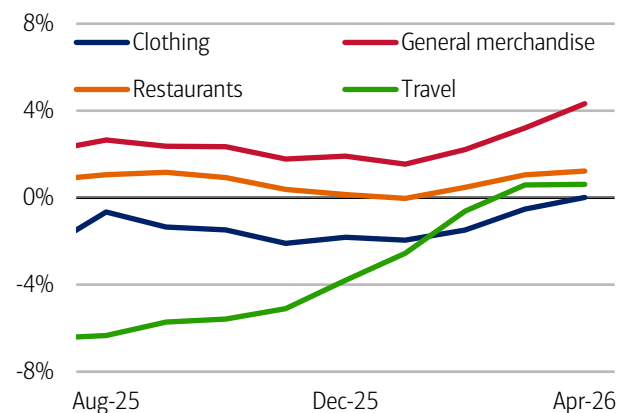
Source: Bank of America internal data

Note: Durables excludes electronics but includes building materials, furniture and autos. Travel includes airlines and lodging.

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Exhibit 5: YoY growth in transactions was positive for general merchandise, restaurants and travel

The number of transactions per household, based on Bank of America card data, across select categories (monthly, SA, YoY%)



Source: Bank of America internal data

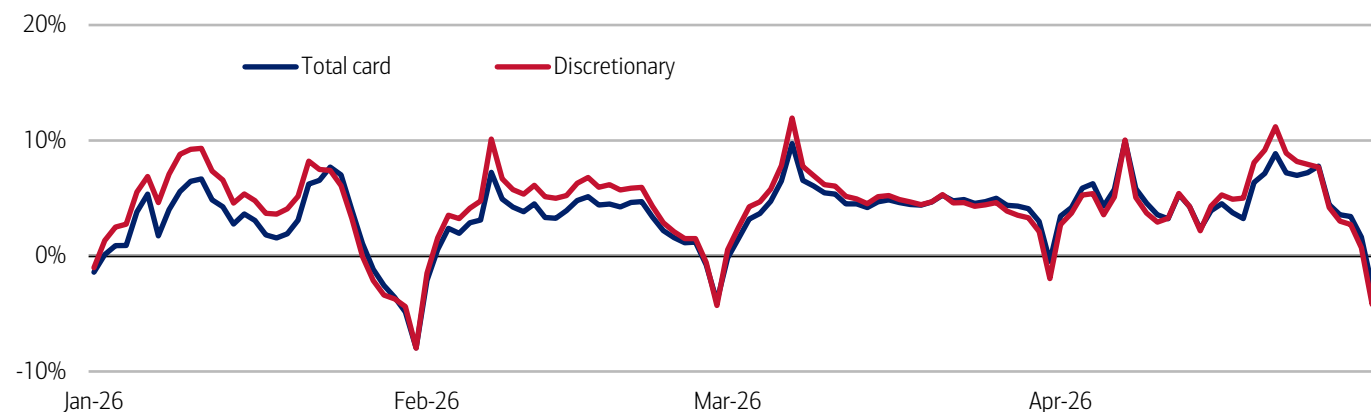
Note: Durables excludes electronics but includes building materials, furniture and autos. Travel includes airlines and lodging.

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Looking at the 7-day moving average of total card spending per household through the end of April suggests that spending growth may have eased more significantly towards the end of the month, particularly for discretionary spending. However, the data around the end of the month is typically volatile, so it may be premature to draw firm conclusions (Exhibit 6).

Exhibit 6: Spending growth slowed more at the end of April than it did in March, but it was in-line with the decrease seen at the end of February

Total card and discretionary spending per household, based on Bank of America data (7-day moving average, YoY%, non-SA)



Source: Bank of America internal data

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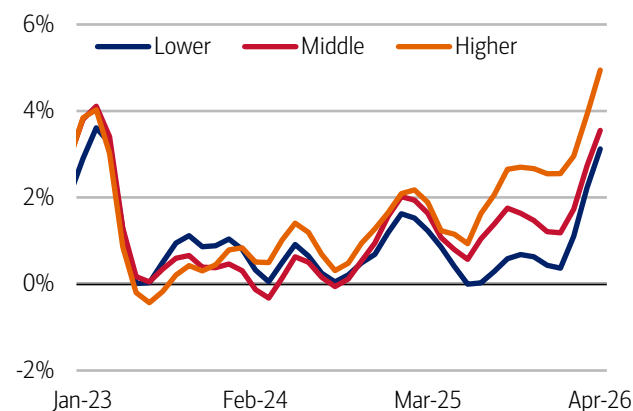
Lower- and middle-income households eased their discretionary spending

Across income cohorts, April card spending rose 3.1% YoY for lower-income households and 3.6% YoY for middle-income households, while higher-income households saw stronger growth at 4.9% YoY (Exhibit 7). Despite improving growth across all income groups in April, the gap between higher-income households and other cohorts widened further.

While total spending growth rose in April for all income cohorts, we see signs of pressure building on discretionary spending from the impact of higher gas prices. In particular, while higher-income households continued to ramp up discretionary spending in April, lower- and middle-income groups saw a modest slowdown from prior months (Exhibit 8).

Exhibit 7: Higher-income households' spending rose to 4.9% YoY in April compared to 3.1% YoY for lower-income households

Total credit and debit card spending per household, according to Bank of America card data, by household income terciles (3-month moving average, YoY%, SA)

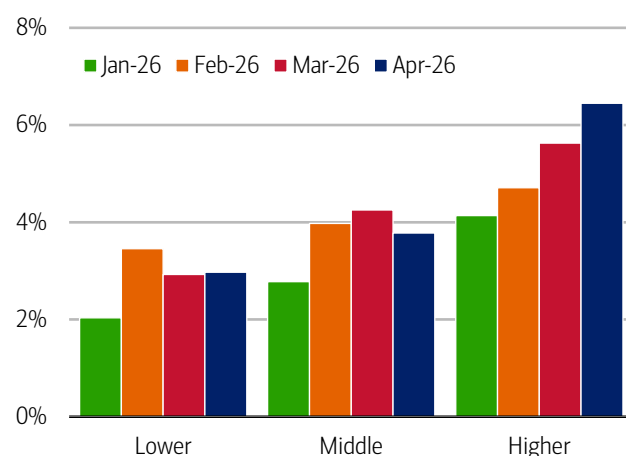


Source: Bank of America internal data

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Exhibit 8: Discretionary spending growth was more muted for lower- and middle-income households

Discretionary card spending per household, according to Bank of America card data, by household income terciles (monthly, YoY%, SA)



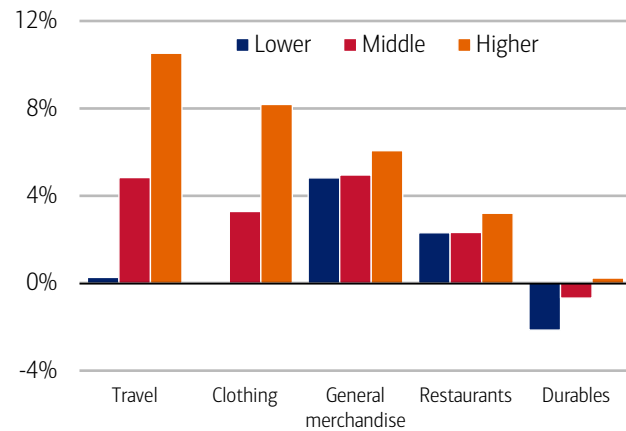
Source: Bank of America internal data

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The largest divergences in discretionary spending growth appeared to be on “bigger ticket” services like travel, perhaps reflecting lower-income households’ hesitancy around vacation plans given uncertainty over wage growth and gas prices (Exhibit 9). It could also be that the boost from tax refunds, which was smaller for lower-income households, is beginning to fade. The 7-day moving average of card spending by income suggests that lower-income households were further easing back on their discretionary purchases relative to higher-income households over the course of April (Exhibit 10).

Exhibit 9: Higher-income households significantly outpace middle- and lower-income households' spending growth on travel and clothing

Spending per household, based on Bank of America card data, for select categories by household income tercile (April 2026, YoY%, SA)



Source: Bank of America internal data

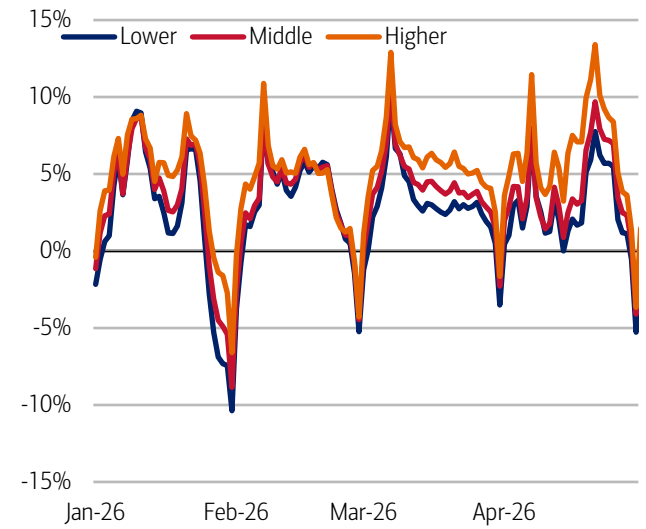
Note: Durables excludes electronics but includes building materials, furniture and autos.

Travel includes airlines and lodging.

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Exhibit 10: The “K” shape in discretionary spending widened throughout March and April

Discretionary spending per household, based on Bank of America data, by household income tercile (7-day moving average, YoY%, non-SA)



Source: Bank of America internal data

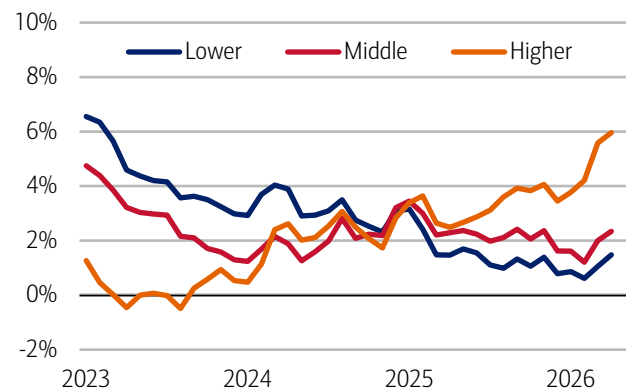
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Another driver of the divergence in spending growth is likely the continued “K” shape in wage growth. After-tax wage growth for higher-income households continued to improve, reaching 6.0% YoY in April – the fastest pace in almost five years – up from 5.6% in March, according to Bank of America consumer deposit account data (Exhibit 11). Middle- and lower-income households also saw modest upticks in growth, to 2.3% and 1.5% YoY, respectively, but their wage growth continued to lag. Even within the higher-income cohort, it appears wage growth is skewed towards those with the highest income – the top 5% of households by income saw wage growth up 10.0% YoY in April (for more, read our publication: [The Institute Employment Report: April 2026](#)).

The wage growth gap between higher- and lower- income households remained at its widest margin since the series began in 2015. The lower absolute dollar-level of their after-tax wages and salaries, combined with slower wage growth, means that lower-income households have seen just enough growth in their wages over the last year to cover the increase in gas spending in April. Meanwhile, higher-income groups’ wage increases have offset higher gas spending nearly seventeen-fold (Exhibit 12).

Exhibit 11: In April, higher-income households’ after-tax wage growth rose to 6.0% YoY, while lower-income households’ wage growth was 1.5% YoY

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (3-month moving average, YoY%, SA)

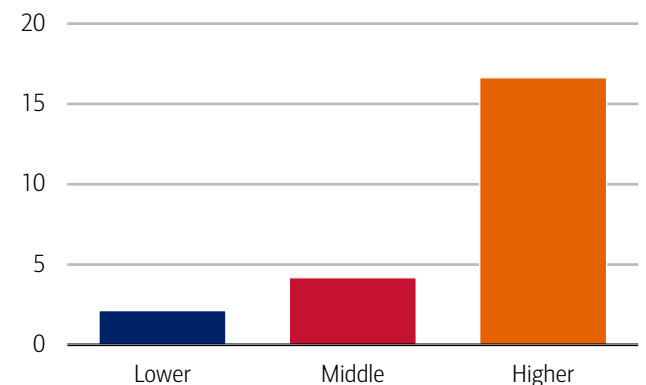


Source: Bank of America internal data

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Exhibit 12: Lower-income households’ after-tax wage increases barely offset average increases in gas spending

After-tax wage and salary increase by household income tercile compared to average per household increase in gasoline spending (April 2026, SA, ratio)



Source: Bank of America internal data

Note: The difference in wages is based on the 3-month moving average while gas spending differences are monthly.

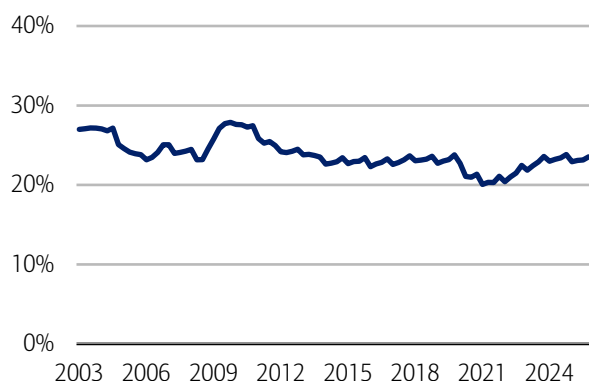
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Credit, tax refunds and deposits still provide some buffer against higher gas prices

Besides relying on wage growth, households can also support spending by leaning more on credit (read more in [Do consumers have wiggle room to absorb higher gas prices?](#)). According to Federal Reserve data, aggregate credit card balances relative to limits remain broadly in line with the late-2010s, suggesting households overall may have some capacity to borrow (Exhibit 13). That said, among revolvers (those that carry a credit card balance every month as opposed to paying it off), Bank of America internal data through April suggests that lower-income households look relatively more constrained, with their utilization levels most elevated versus 2019 levels, despite some recent easing (Exhibit 14).

Exhibit 13: Overall average card utilization is close to the pre-Covid period...

Overall US credit card balances relative to limits as reported by Federal Reserve Bank of New York (quarterly, %)

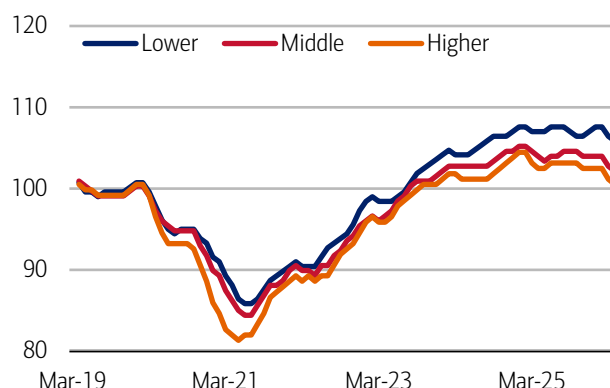


Source: Federal Reserve Bank of New York

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Exhibit 14: ...but there was less wiggle room for lower-income households in April 2026

Median credit card utilization for credit card "revolvers" by income tercile (monthly, index 2019 average = 100, 3-month moving average)



Source: Bank of America internal data

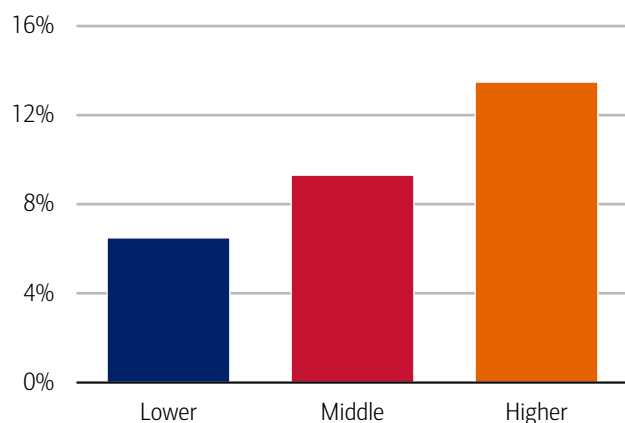
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Larger tax returns are also likely to provide some support for consumers, although they have somewhat skewed towards higher-income households (Exhibit 15).

As tax season comes to an end, what have households done with the money so far? Comparing Bank of America internal data on spending in the three weeks before to the three weeks after a tax refund, along with changes in deposit levels from January to April, we can estimate that a fairly small percentage (c. 20%) of overall refunds have actually been spent so far. And, notably, consumers appear to have saved almost half of what they received (Exhibit 16).

Exhibit 15: Average refunds continued to be up for all income cohorts, though most for higher-income households

Average tax refund by household income tercile through April 24 compared to similar period last year (aggregate, YoY%)

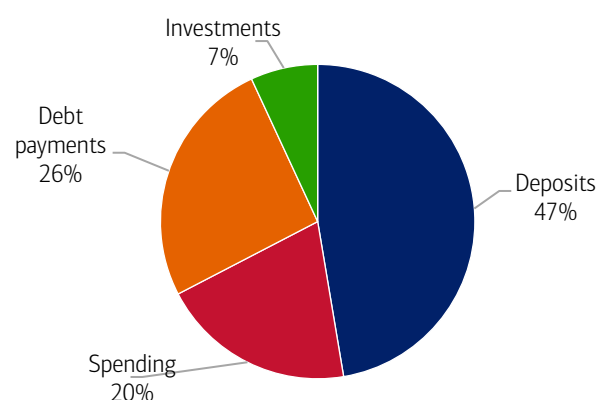


Source: Bank of America internal data

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Exhibit 16: Nearly half of tax refunds are saved in deposit accounts

Per household payment increases by select categories (sum of three weeks after receipt of tax refund minus sum of three weeks before tax refund) and per household change in deposits (April – January)



Source: Bank of America internal data

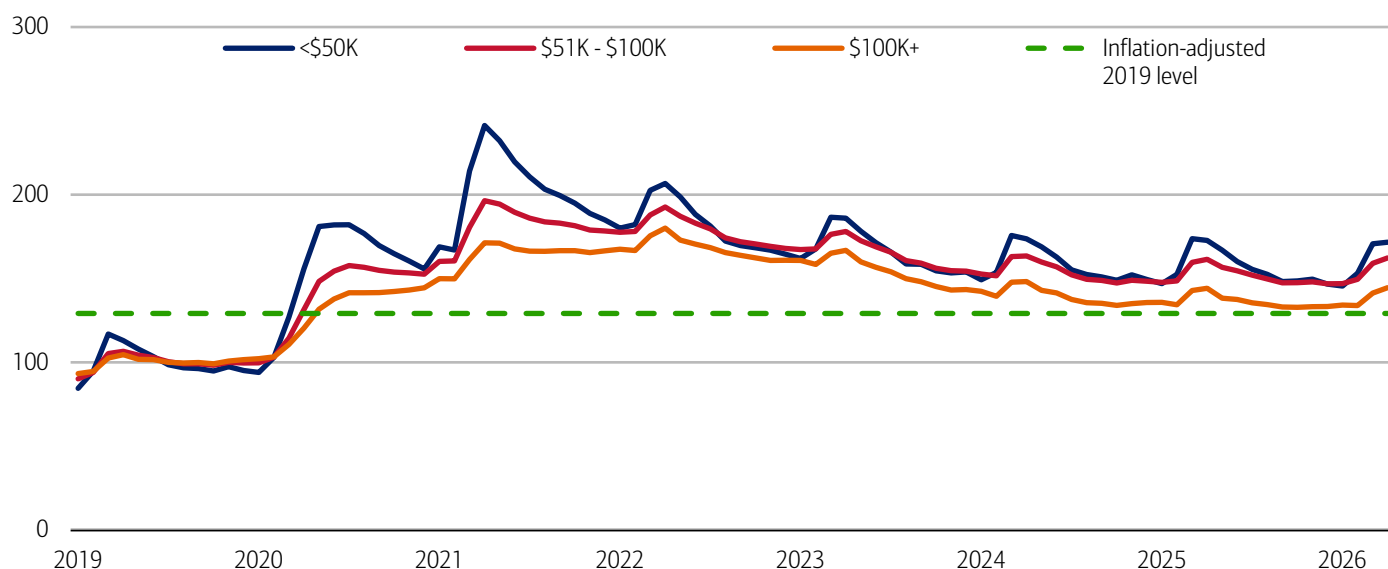
Note: Total refund activity is calculated using the sum of the delta in payments and deposits using the time periods above. Shares are calculated from this total.

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This is consistent with the rise in median deposits between January and April, as seen in most years, including in 2026 (Exhibit 17). These elevated deposits are something some consumers could potentially draw upon to support their spending in coming months.

Exhibit 17: Household savings are rising as tax refunds are deposited, but are down significantly from the peaks five years ago

Monthly median household savings and checking balances by income for a fixed group of households through April 2026 (monthly, index 2019 = 100)



Source: Bank of America internal data

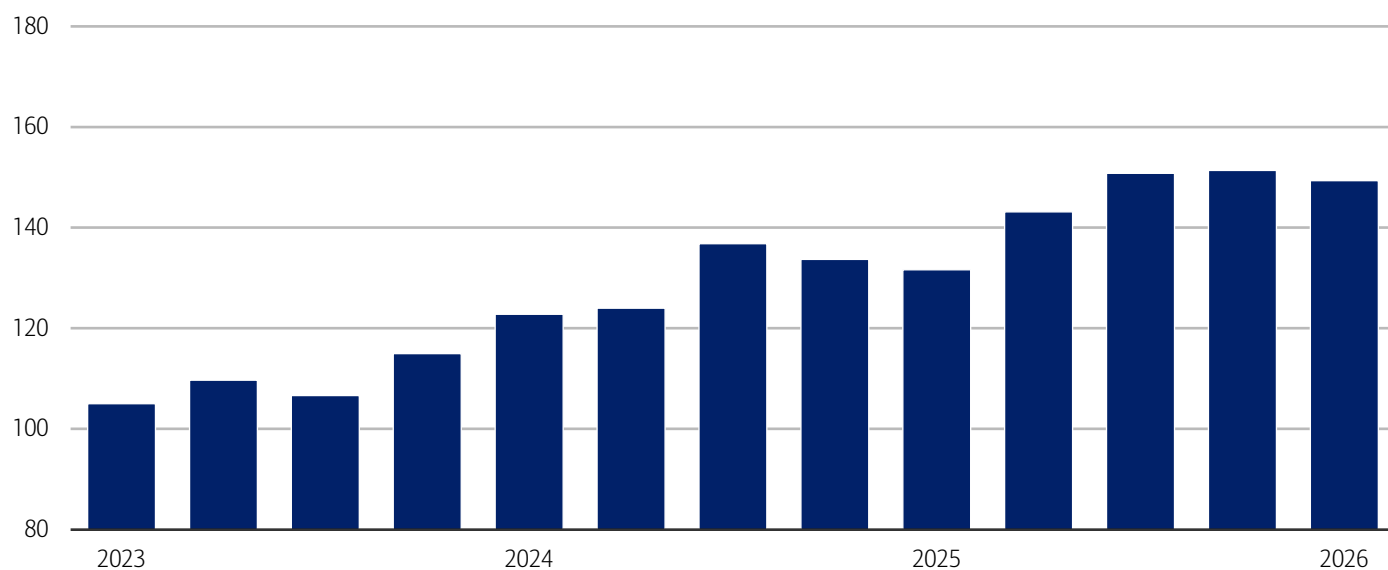
Note: Monthly data includes those households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through April 2026.

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While shorter-term savings may offer a relatively limited runway to households, internal data on Bank of America 401(k) plan participants shows that average balances, as of the first quarter of 2026, are up significantly over the past few years (Exhibit 18). So, it's possible that some consumers have longer-term savings they could tap into, if needed (read more in [Bank of America's 2026 Q1 Participant Pulse](#)).

Exhibit 18: The average account balance for 401(k) plan participants in Q1 2026 is up over the past two years

Average account balances for Bank of America 401(k) plan participants (quarterly, index Q4 2022 = 100)



Source: Bank of America internal data

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

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For analysis looking at higher value transactions (including durables), we consider a value per transaction threshold estimated with reference to the top 30% of transactions by value in 2024. The share of higher value transactions is then the number of transactions above this threshold as a percentage of total transactions over time.

Participant Pulse monitors plan participants' behavior in Bank of America clients' employee benefits programs, which comprise more than 4 million total participants with positive account balances as of March 31, 2026.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

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1. Gen Z, born after 1995
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4. Gen Xers: born between 1965-1977
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Disclosures

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Economy

The Institute Employment Report: April 2026

06 May 2026

Key takeaways

- Payrolls growth in Bank of America customer deposit account data was strong in April. An estimate of jobs growth suggests the February/March rebound strengthened to 1.9% year-over-year (YoY), while growth in unemployment payments eased further - pointing to steady underlying labor market progress.
- But the labor picture is nuanced: while official jobs growth was solid in March, there are mixed signals beneath the surface. In Bank of America data, small business payrolls growth was negative in March, even as some sectors - like construction and manufacturing - showed signs of ramping up hiring.
- The divergence in wage gains remains very wide. After-tax wage growth for higher-income households was 6.0% YoY in April, while middle- and especially lower-income households saw much weaker gains.

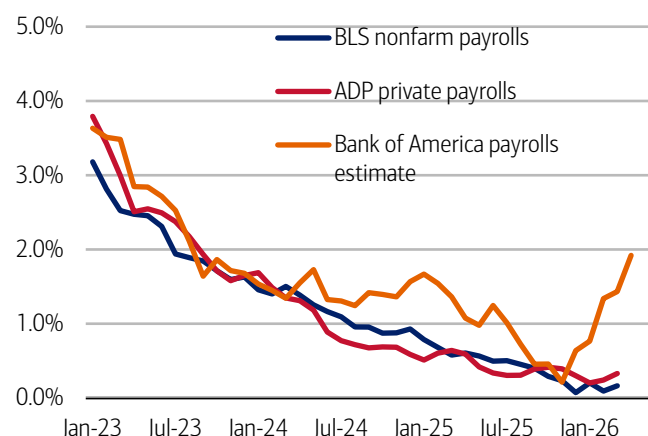
April saw steady progress in payrolls growth...

Bank of America data suggests payrolls growth increased further in April, while growth in unemployment payments continued to slow. Additionally, there remains a large “K” shape in wage growth.

We use Bank of America consumer deposit data to estimate a payrolls series by looking at how the number of customer accounts receiving a paycheck is changing (see Methodology). This data can be fairly noisy, partly due to seasonal variation. However, looking at the three-month moving average, Exhibit 1 shows that our measure rose sharply to 1.9% year-over-year (YoY) in April, up from 1.4% in March 2026, and accounted for the highest growth in two-and-a-half years.

Exhibit 1: Bank of America account data indicates payrolls growth accelerated in April 2026

Payroll estimates from Bank of America customer deposit account data (three-month moving average, % YoY), the Bureau of Labor Statistics (BLS) and Automatic Data Processing (ADP) (monthly, YoY)



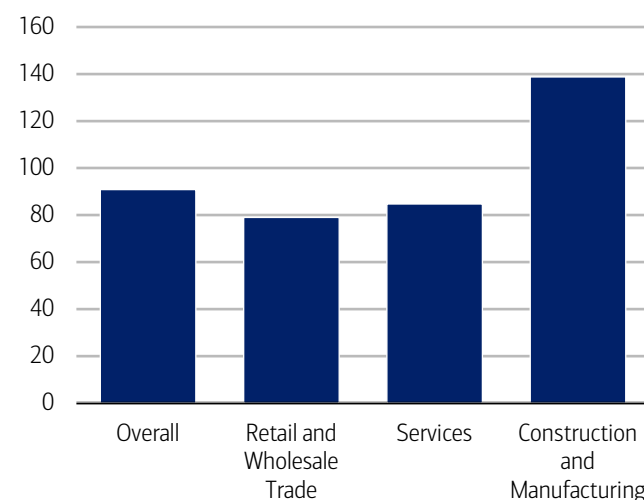
Source: Bank of America internal data, Haver Analytics

Note: BLS and ADP data are seasonally adjusted, Bank of America data is not seasonally adjusted.

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Exhibit 2: Small construction and manufacturing firms' hiring payments were nearly 40% above the 2023 average level in March

Small business payments to hiring firms by industry in March (indexed, 2023 average = 100, 3-month moving average)



Source: Bank of America internal data

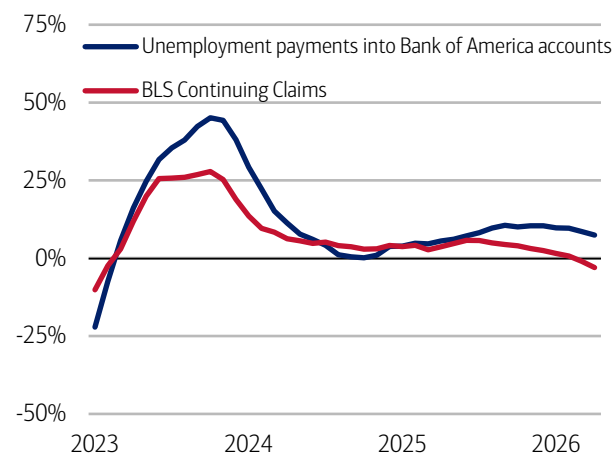
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The Bank of America payrolls estimate continues to track significantly stronger jobs growth than the official Bureau of Labor Statistics (BLS) data. That said, BLS payrolls growth was also strong in March, rising by 178K month-over-month (MoM).

It remains to be seen whether the recent increase in oil prices and the associated pass-through to transport costs will weigh on employment growth going forward. Bank of America data indicates that small business payrolls growth was negative in March, marking three consecutive months of declines. But the overall employment situation is nuanced – with signs that small firms in construction and manufacturing were ramping up hiring as of March 2026 (Exhibit 2). For more, read publication: [Small Business Checkpoint: One shock after another](#).

Exhibit 3: Unemployment payment growth continued to decline in April

Number of households receiving unemployment payments (three-month moving average, YoY%, not seasonally adjusted (NSA)) and Continuing Claims (three-month moving average, YoY%, seasonally adjusted (SA))

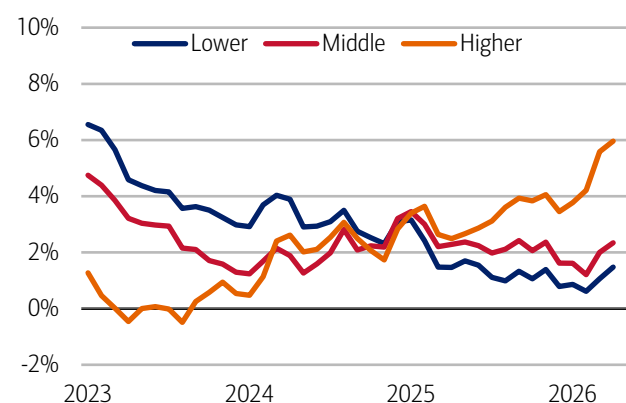


Source: Bank of America internal data, Bloomberg

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Exhibit 4: In April, higher-income households' after-tax wage growth rose to 6.0% YoY, while lower-income households' wage growth was 1.5% YoY

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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Alongside rising jobs growth, Bank of America data on unemployment payments into customer accounts continues to show easing growth. In April, unemployment payments growth dropped to 7.4% YoY (Exhibit 3). BLS Continuing Claims data has also been slowing, with the YoY rate measuring below zero in April.

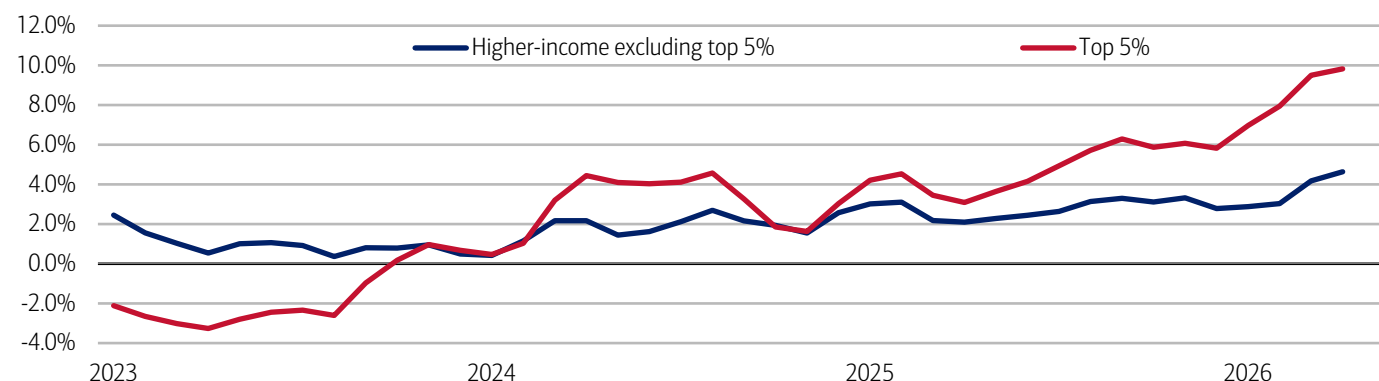
Higher-income households have experienced much stronger after-tax wage growth

There remains a significant gap in after-tax wage growth between income groups (Exhibit 4). In April, higher-income households saw their after-tax wage growth rise to 6.0% YoY – the highest rate we've observed since August 2021. In fact, even within this cohort there is a divergence, with after-tax wage growth for the highest 5% of households by income stronger than that of the rest of the higher-income cohort (Exhibit 5).

Middle- and lower-income households also saw increases in their after-tax wage growth in April, to 2.3% YoY and 1.5% YoY, respectively. But the gap between these cohorts and higher-income households remains at its widest level since our data series began in 2015.

Exhibit 5: Even within the higher-income tercile, there is a "K" in wage growth

After-tax wage and salary growth for higher-income households excluding the top 5%, and the top 5% of households, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to childcare, rent, insurance, public transportation, and tax payments. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category.

For analysis looking at higher value transactions (including durables), we consider a value per transaction threshold estimated with reference to the top 30% of transactions by value in 2024. The share of higher value transactions is then the number of transactions above this threshold as a percentage of total transactions over time.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between

these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows:

1. Gen Z, born after 1995
2. Younger Millennials: born between 1989-1995
3. Older Millennials: born between 1978-1988
4. Gen Xers: born between 1965-1977
5. Baby Boomer: 1946-1964
6. Traditionalists: pre-1946

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Estimate of payrolls growth from Bank of America internal data is based on the change in customer accounts receiving a paycheck in the month. An adjustment is made for the difference between overall population growth and customer account growth.

An estimate of bonus growth from Bank of America deposit data is calculated by looking at customers who have received an inbound ACH payroll transaction in the last two years. From this sample an estimate of bonuses is derived by looking for payroll transactions which are over 50% higher than the median regular payroll payments received by the customer. Of these payments only those that were received around the same time in each of the last two years are selected.

Additional information about the methodology used to aggregate the data is available upon request.

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Transformation

Adaptability is the new job security: AI and the future of work

14 May 2026

Key takeaways

- As AI becomes deeply embedded in the workplace, its labor market impact appears to be increasingly uneven across regions and industries. An estimated 24% of jobs are exposed to generative AI (genAI), with exposure highest in higher-income economies (33.5% of jobs), where non-routine cognitive work is more prevalent.
- Exposure metrics highlight where AI pressure may be greatest, but BofA Global Research believes labor market outcomes depend more on an economy's ability to adapt through skills, institutions and workforce quality. As a broad, general-purpose shock to cognitive labor, AI appears to be reshaping how jobs are done rather than simply replacing them.
- According to BofA Global Research, if economies invest in complementary skills, AI is more likely to augment work and help moderate inequality. At the same time, policy frameworks must ensure that productivity gains are shared between labor and capital, with accelerated efforts to provide clear top-down guidance to private firms - encouraging responsible, inclusive AI deployment.

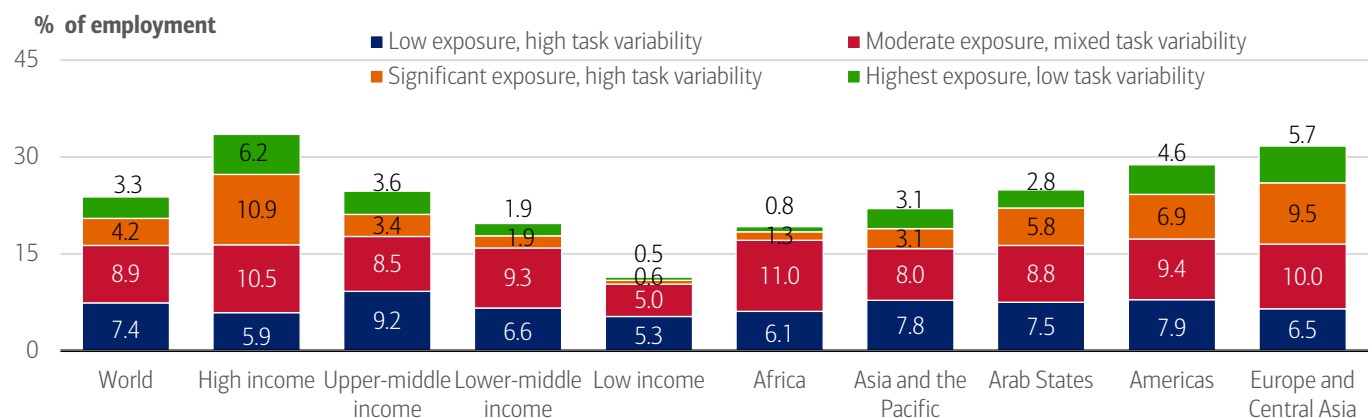
Discussion about AI's role in the workplace has grown as technology becomes more capable. AI systems are increasingly used to assist with tasks such as writing, coding, analysis and diagnostics – areas that have traditionally relied on human expertise. At the same time, the extent to which AI is adopted differs widely across regions and industries, reflecting variations in workforce skills, technological infrastructure, demographics and the complexity of work being performed.

Job exposure varies by region

According to the International Labour Organization's (ILO) 2025 research, roughly one in four jobs globally – up to 840 million positions – are exposed to generative AI (genAI), meaning some of their tasks can be done or supported by AI (Exhibit 1). Exposure is greatest in higher-income countries (one in three, or 33.5% of jobs), where non-routine cognitive work is more prevalent, and falls to about 11% in lower-income countries.

Exhibit 1: An estimated 24% of jobs worldwide are likely to be exposed to genAI

Global estimates of occupations potentially exposed to genAI (% of employment)



Source: ILO - CC BY 4.0¹, BofA Global Research

Note: "High exposure" means job's tasks have high potential to be automated by AI tools, while "low task variability" means most tasks in that job look alike as they are repetitive, predictable.

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¹ Gmyrek, P., Berg, J., Kamiński, K., Konopczyński, F., Ładna, A., Nafradi, B., Rosłaniec, K., Troszyński, M. (2025). *Generative AI and Jobs: A Refined Global Index of Occupational Exposure*, ILO Working Paper 140 (Geneva, ILO). <https://doi.org/10.54394/HETP0387>

In higher-income economies, genAI-exposed jobs also tend to have higher exposure intensity (a larger share of roles with high exposure scores). These countries may be better positioned to capture productivity gains, but the inequality risk could be significant: firms that lead the AI evolution may capture a disproportionate share of gains unless access to AI tools broadens, according to BofA Global Research.

Regionally, AI exposure is highest in Europe and Central Asia (31.7% of jobs), followed by the Americas (28.8%), Arab States (24.9%) and Asia-Pacific (APAC) (22%), according to the ILO's research. However, BofA Global Research notes that relative shares alone understate the global impact: because a disproportionate amount of global employment is concentrated in APAC, about 442 million jobs there could face some level of exposure – roughly equal to all other regions combined. This highlights that the scale of disruption depends on both exposure rates and the size of the workforce at risk.

Labor and resource reallocation are key

Exposure metrics show where AI pressure may be highest, but BofA Global Research notes that outcomes depend more on how well economies adapt through skills, institutions and workforce quality. According to International Monetary Fund (IMF), job qualifications are evolving. “New skills” – especially in AI and information technology (IT) – are now required in roughly one in 10 job postings in advanced economies and one in 20 in emerging markets.²

Many roles are therefore more likely to be redesigned than eliminated – for example, marketing specialists may spend more time on strategy and message refinement while AI drafts content and analyzes data. Whether workers adjust depends on transferable skills and access to retraining. As a result, countries with stronger human-capital systems may face less disruption even at similar levels of AI exposure.

Recent research from the Yale Budget Lab similarly highlights that the trajectory of AI's economic impact may hinge on the balance between productivity gains and labor supply effects. While stronger productivity growth could materially improve long-term economic and fiscal outcomes, declines in labor force participation could partially offset these gains – underscoring the importance of how economies adapt to technological change.³

AI impacts: Job redesign, not replacement

AI is increasingly viewed as a broad, general-purpose shock to cognitive labor – not a narrow, sector-specific automation wave – according to BofA Global Research. The key question is therefore not whether AI affects jobs, but how it reshapes work. Analysts point to three questions that frame the long-term labor market impact:

1. In AI-exposed occupations, does AI primarily function as an augmenting tool or as a substitute to human input?
2. Will these occupations persist, with only the composition and allocation of tasks changing, rather than the jobs themselves disappearing?
3. Will rising income and productivity gains in the economy lead to stronger labor demand in occupations that are less exposed to AI?

The range of potential outcomes remains wide. Research from Yale Budget Lab points to considerable uncertainty across key variables such as productivity growth, labor force participation and unemployment, suggesting that AI's long-term impact will depend not just on technological capability, but on the pace and breadth of adoption.⁴

Different jobs, different AI impacts

There are certainly jobs that are highly exposed to AI, such as clerical work, professional services, technicians and customer support. They rely heavily on tasks that genAI can automate or augment, from document drafting to data processing and customer interaction (Exhibit 2).⁵

But different exposure can mean different outcomes. While clerical, administrative and customer support roles are more susceptible to AI-driven automation because many core tasks are standardized and substitutable, by contrast, professional services and many managerial roles are more likely to see AI-led augmentation, where tools complement human judgment, coordination and decision-making.

² Georgieva, K. (2026, January 14). *New skills and AI are reshaping the future of work*. IMF.

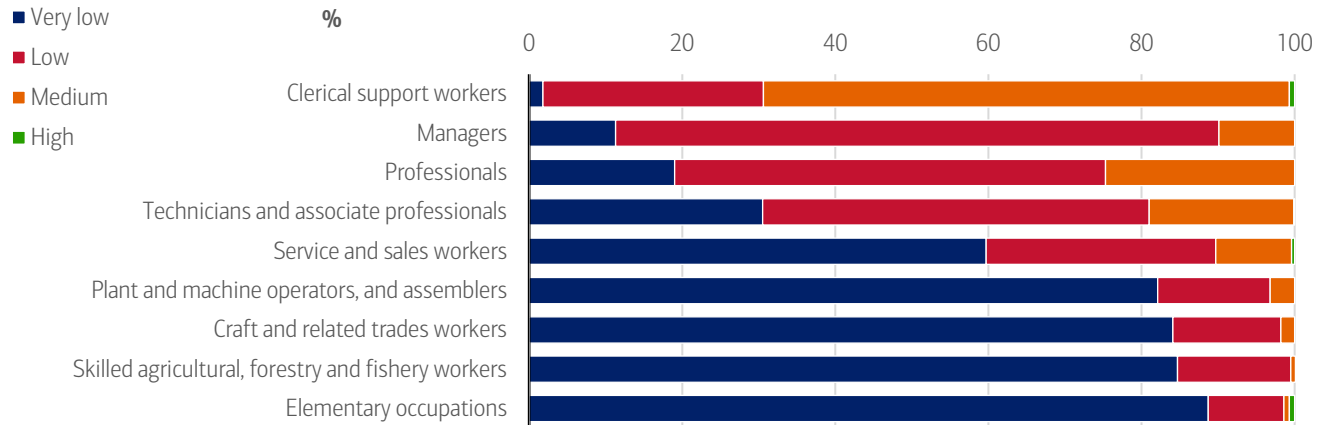
³ Yale Budget Lab. (2026, May 6). *What might AI adoption mean for the fiscal and economic outlook?*

⁴ Ibid.

⁵ Berg, J., Gmyrek, P., et al. (2025, May). *Generative AI and jobs: A 2025 update*. ILO.

Exhibit 2: Jobs, such as managers, professionals, technicians and clerical support workers, are most exposed to genAI

Exposure levels to genAI by occupational category (%)



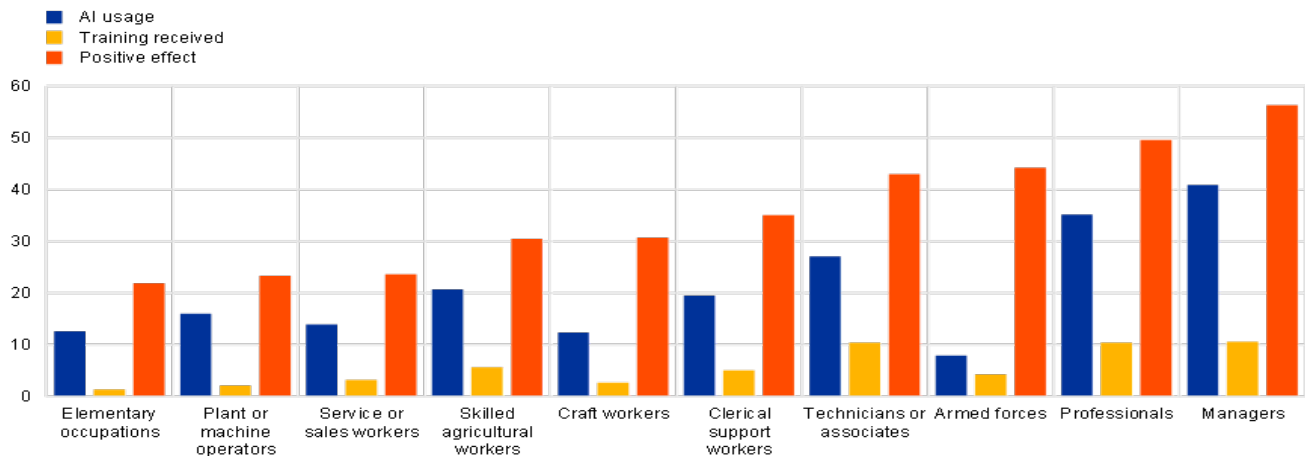
Source: ILO – CC BY 4.0⁶, BofA Global Research
Note: Based on microdata for 59 countries.

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Evidence from the European Central Bank's (ECB) 2024 survey across 11 European Union (EU) countries is consistent with this split: managers, professionals and technicians are the most likely to use AI in daily work and are the most optimistic about its benefits, with more than half of managers expecting AI to improve their roles (Exhibit 3). According to BofA Global Research, if augmentation dominates across exposed occupations, the main labor market risk is near-term task displacement and job reconfiguration, not large-scale unemployment.

Exhibit 3: Managers, professionals and technicians are the groups most likely to integrate AI into their daily work

AI usage and perceptions of impact across occupations



Source: European Central Bank (ECB)⁷

Note: The shown perception percentages exclude workers who expect either no effect or negative effect of technological advancements (such as AI or automation) on their current or future employment prospects. Perceptions are reported for all workers independently of their AI usage.

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Recent research aligns with this view. Drawing on findings from the ILO, BofA Global Research points to widespread task exposure, with impacts skewing toward job transformation. In other words, genAI appears to have greater potential to augment or complement human labor than to automate or replace it (Exhibit 4).

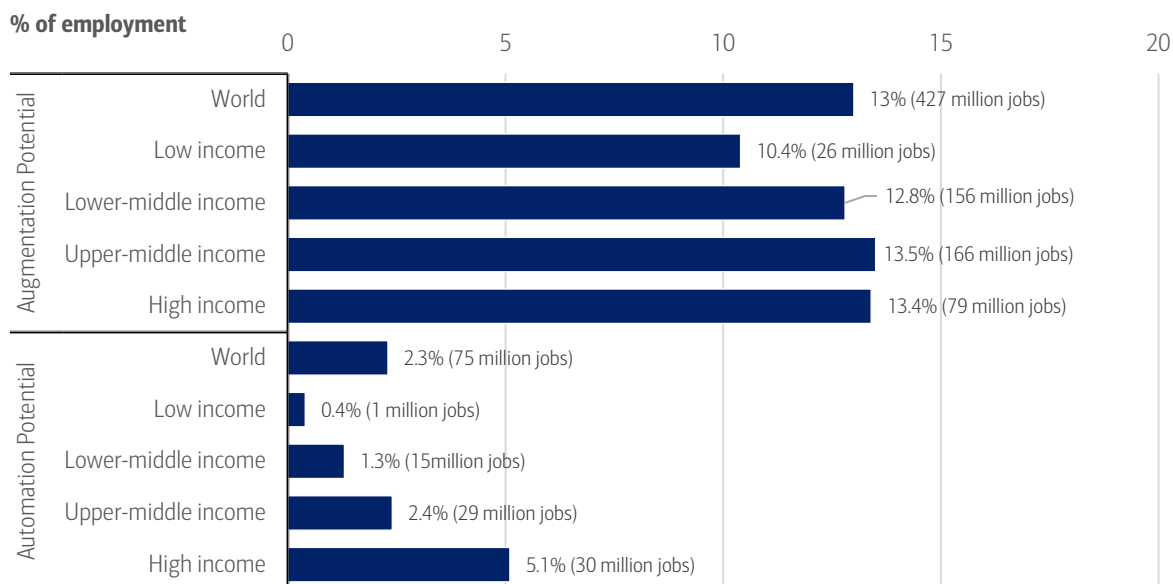
In the past, paradigm-shifting technologies have displaced tasks but ultimately boosted employment. For example, automated teller machines (ATMs) reduced routine cash-handling tasks, but by lowering operating costs, they enabled banks to open more

⁶ Gmyrek, P., Berg, J., Kamiński, K., Konopczyński, F., Ładna, A., Nafradi, B., Rosłaniec, K., Troszyński, M. (2025). *Generative AI and Jobs: A Refined Global Index of Occupational Exposure*, ILO Working Paper 140 (Geneva, ILO). <https://doi.org/10.54394/HETP0387>

⁷ European Central Bank. (2025, January 31). *ECB consumer expectations survey results – December 2024*.

branches and redeploy tellers into sales and customer service roles, increasing total teller employment. While AI is accelerating the displacement of certain tasks, it has the potential to transform more, according to BofA Global Research.

Exhibit 4: The number of jobs in the augmentation category is significantly higher than the number of jobs that have automation potential
Global estimates for jobs with augmentation and automation potential as share of total employment



Source: ILO – CC BY 4.0⁸, BofA Global Research

Note: Based on microdata for 59 countries. Augmentation potential refers to the likelihood that AI will assist humans rather than replace them. Automation potential refers to the likelihood that AI can fully replace a task or job.

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AI substitutes tasks, not entire jobs

Analysts generally expect tasks to be reallocated within occupations rather than entire professions collapsing. Breakthrough technologies often bolt onto existing processes before reorganizing them. Electrification, for instance, first powered old factory layouts and only later enabled redesign. BofA Global Research expects a similar two-stage path with genAI.

In the near term, firms are likely to layer copilots and automation onto current workflows, reducing bottlenecks in documentation, data entry, research and coordination. The early payoff comes from task-level augmentation; the larger productivity step-up follows as firms redesign roles, teams and processes around AI. For more on how task-level integration is already visible in consumer AI use, read our publication: [Not quite mAlnstream: A consumer AI profile](#).

As adoption deepens, labor markets may adjust through hybridization and specialization.⁹ Hybridization combines overlapping tasks across roles as routine subtasks are automated, creating broader jobs. Specialization occurs when clusters of AI-related tasks cohere into new specialties.

GenAI is also creating new roles (e.g., prompt engineers and AI trainers) focused on interfacing with, supervising and improving model output. It can scale creative production too, increasing demand for editors, designers and strategists who guide and refine AI-generated content. Even as tasks shift, interpretation, judgment, accountability, social interaction and ethical responsibility remain human-anchored.

Jobs with low AI exposure: Greater scope for growth

AI's primary economic effect is to raise productivity. Historically, productivity growth does not reduce aggregate labor demand unless overall demand is fixed – an uncommon outcome, according to BofA Global Research. As productivity lifts real incomes, it typically expands consumption and demand across the economy.

That dynamic can disproportionately benefit jobs with lower AI exposure. As incomes rise, demand often shifts toward labor-intensive services, making roles in healthcare, nursing, elder care and education both more affordable and more valued. These sectors scale with demographics, human interaction and trust – factors that remain difficult to automate.

⁸ Gmyrek, P., Berg, J., Kamiński, K., Konopczyński, F., Ładna, A., Nafradi, B., Rostaniec, K., Troszyński, M. (2025). *Generative AI and Jobs: A Refined Global Index of Occupational Exposure*, ILO Working Paper 140 (Geneva, ILO). <https://doi.org/10.54394/HETP0387>

⁹ Jobs and Skills Australia. (2025, August 14). *Our Gen AI Transition*. Australian Government.

Labor market trajectory may hinge on a race between AI advancement and workforce adaptability

Some observers now worry earlier estimates of genAI's labor market effects were conservative because they were based on earlier models, according to BofA Global Research. The rapid rise of agentic AI could bring more structural, far-reaching changes than prior waves of genAI (Exhibit 5).

Agentic AI has scaled quickly since 2025, contributing to the rise of the “OPC” (one person company) theme. These agents can orchestrate workflows, monitor systems, schedule work and execute multi-step tasks with minimal human involvement. BofA Global Research argues this could reshape processes by adding scalable “digital labor supply.” To read more on agentic AI, check out our earlier publication: [On the clock: Agentic AI in the workplace](#).

Exhibit 5: Agentic AI may feature more advancement than previous genAI

Table illustrating key differences between agentic AI and genAI

Earlier Gen-AI Framework (2023-24)	Agentic AI Framework (2025-26)
Task-level exposure analysis	Workflow-level & production function analysis
AI as tool for workers	AI as worker itself
Human-in-the-loop assumption	Human-out-of-loop possible
Productivity through augmentation	Productivity through substitution + automation of entire chains
Slow adoption (due to integration friction)	Rapid adoption (self-hosted, chat-controlled agents)

Source: BofA Global Research

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Anthropic similarly notes a gap between what large language models (LLMs) could theoretically do and what is being automated in practice. If that gap closes as technology advances, labor impacts could widen – especially in management, business and finance, computer and math, legal, arts and media, and life and social sciences.

Taken together, the labor market trajectory may hinge on a race between rapid AI advancement and the workforce's ability to adapt. According to BofA Global Research, this remains both a risk and an opportunity in an environment of fast-evolving technological change. While there may be hesitancy about job displacement amid the expansion of agentic AI, the emergence of OPCs also underscore how genAI can reduce barriers to entry for many business activities, which can accelerate entrepreneurship and small business formation, contributing to net job creation.

How will AI impact wage inequality?

Automation has long displaced routine task specialists and contributed to wage inequality. However, the current AI wave reaches deeper into cognitive work, shifting which jobs are exposed. The open question is whether AI changes inequality dynamics relative to past technology shocks.

It's still early days in the AI revolution. To date, analysts observe some divergence in wage effects within occupations but find little evidence of any direct negative impact across occupations. A recent Dallas Fed study finds no meaningful deviation in wages across occupations in the US labor market. Comparing the percentage difference between experienced and entry-level wages across 205 occupations with varying levels of AI exposure, they found no significant relationship between an occupation's AI exposure and its post-2022 wage growth.

Within-occupation wage dispersion, on the other hand, may still widen, according to BofA Global Research. As AI improves, lower-wage routine tasks become more automatable, raising inequality risk within roles. In the Dallas Fed analysis, wages rose faster in AI-exposed industries even as employment growth lagged – especially for younger workers – consistent with augmentation for experienced workers and substitution at entry levels.

Labor market impact depends on demographics and skill supply

GenAI's labor market impact will hinge on demographics and skill supply, shaping wages, consumption and fiscal pressures, according to BofA Global Research. When technology outpaces education and training, the wage premium for high-skill labor rises and inequality widens; when education keeps pace and builds complementary skills, productivity gains are more broadly shared.

Younger workers and women are typically more exposed to AI

The ILO finds that women are more exposed to AI than men, particularly in advanced economies, largely because they are overrepresented in administrative roles with routine, language-based tasks well suited to genAI automation or augmentation. In higher-income countries, greater digitization of these female-dominated roles further raises exposure relative to many male-dominated manual or technical jobs.

Younger workers also tend to be more exposed because they are more likely to hold roles with automatable tasks and to adopt AI tools earlier – creating both higher vulnerability and greater upside from productivity gains. Older workers, on the other hand, are generally less exposed because their jobs rely more on experience, interpersonal skills and other non-routine tasks.

Aging economies with talent pools could be the ones to benefit the most

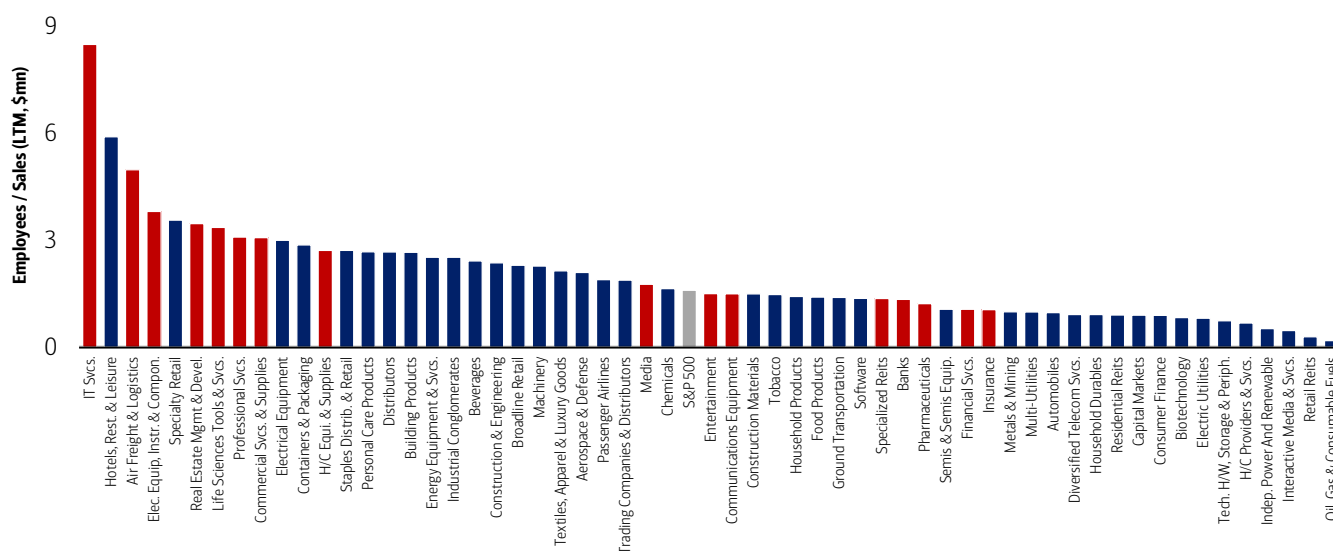
Aging societies (Europe, North Asia and parts of North America) face labor shortages and rising care needs, increasing the value of AI that can lift productivity and extend workforce participation. This elevates the role of assistive technologies and targeted task automation in healthcare, public services and caregiving. Regions with demographic headwinds but strong education levels, digital infrastructure and innovation capacity may benefit disproportionately from AI adoption.

AI's effects on employment in the US are still uncertain

According to BofA Global Research's US equity strategy team, a number of sub-industries have potential use cases for AI (Exhibit 6). Analysts note that AI could significantly disrupt employment in some of the most labor-intensive sectors, particularly those with a high employee-to-sales ratio, such as information technology (IT) services, logistics, electronic equipment and real estate management.¹⁰ Taken together, these industries account for roughly one-quarter of US employment, according to their estimation (Exhibit 7).

Exhibit 6: AI potentially disrupts employment in some of the most labor-intensive industries

Employee/sales ratio (\$, millions) by S&P 500 industry group (red = industries with potential use cases for AI, according to BofA Global Research)



Source: FactSet, BofA Global Research

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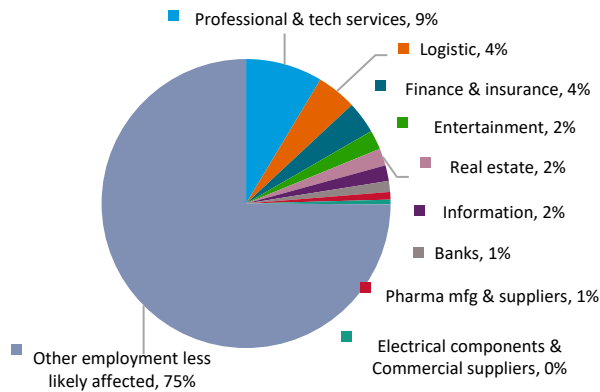
What does BofA Global Research's recent equity analyst survey say about the US labor market?

What about the direct impact? A recent BofA Global Research equity analyst survey indicates that 52% of BofA US fundamental analysts expect AI to modestly reduce headcount, whereas 42% foresee no impact (Exhibit 8). If these survey expectations prove accurate, some employment pressures could arise in the near term.

¹⁰ Note that employee-to-sales is a first-pass indicator of exposure rather than a definitive measure. Labor intensity does not always equate to AI susceptibility, according to BofA Global Research, and outcomes will also depend on factors such as task composition.

Exhibit 7: About one-quarter of total employment in the US is in industries with potential use cases for AI

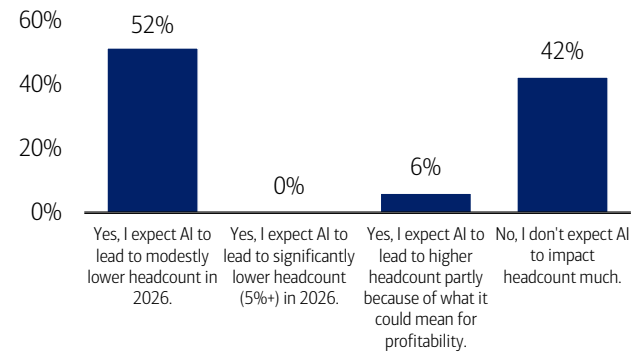
Share of total employers in AI-exposed industries in the US



Source: Bureau of Labor Statistics (BLS), BofA Global Research estimates
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Exhibit 8: 52% of BofA US fundamental analysts expect AI to modestly lower headcount next year, while 42% don't expect an impact

BofA US fundamental analyst survey: "Do you expect that headcount at your companies will be impacted by AI in 2026?"

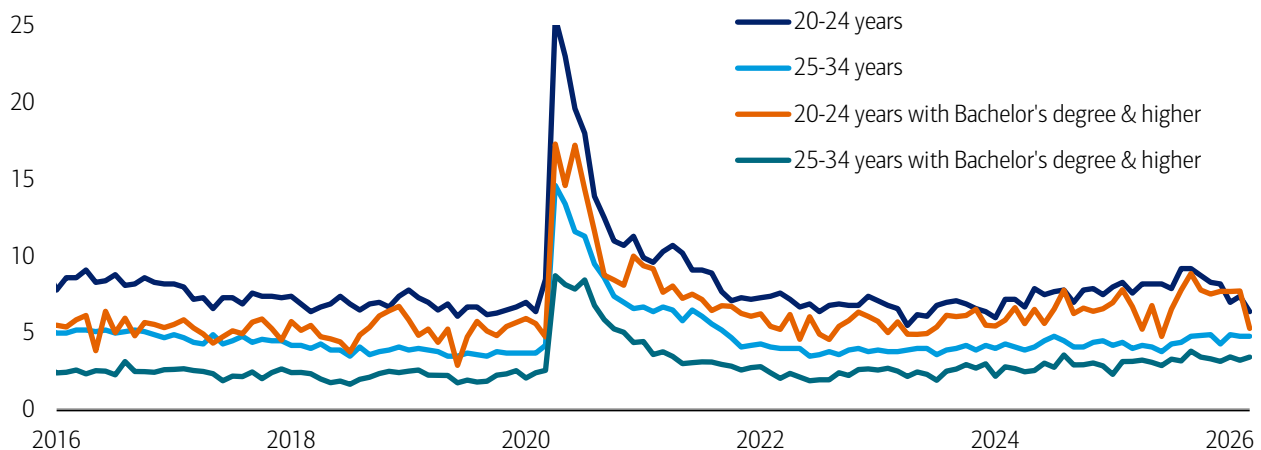


Source: BofA Global Research
Note: The survey was conducted from November 3-14, 2025 and includes responses from 33 BofA analysts covering US stocks.
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Unemployment among 20–24-year-olds rose to decade highs in the second half of 2025, but the recent easing suggests pressures on this cohort may have peaked. BofA Global Research interprets the earlier increase as slower hiring amid post-pandemic demand normalization and weaker activity in select sectors – occurring alongside faster AI adoption – rather than outright AI displacement. However, pressures are most evident among the 25-34 cohort, where unemployment is still high even for degree holders, pointing to softer demand for early to mid-career roles where AI-related efficiency gains may be having a more tangible impact in an otherwise low hiring environment (Exhibit 9).

Exhibit 9: Unemployment for early careers workers (25-34 years) with higher education remained elevated

Unemployment rate by age and education (%)



Source: BLS, Haver Analytics, BofA Global Research
Note: BofA Global Research used the seasonal adjustment function in Haver for the non-seasonally adjusted unemployment rate with education and age. They also used the interpolate function in Haver to obtain October unemployment rates during the government shutdown.
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What comes next?

At a macro level, productivity growth remains the single most important determinant of long-term economic outcomes. As AI adoption accelerates, the extent to which productivity gains outweigh potential reductions in labor supply may play a key role in shaping both growth and distributional dynamics.¹¹

AI's distributional impact will depend on whether education and skill supply keep pace with technology's demands. If economies invest in complementary skills – digital literacy, problem-solving and adaptability – AI is more likely to augment workers, moderate inequality and spread productivity gains, according to BofA Global Research. If skill supply lags, AI could amplify wage

¹¹ Yale Budget Lab. (2026, May 6). *What might AI adoption mean for the fiscal and economic outlook?*

polarization. Higher-skill workers who can leverage AI may see rising returns, while lower-skill workers risk displacement or stagnation. As AI reaches further into cognitive tasks, the premium on adaptability and continuous learning may be even greater.

At the same time, policy frameworks must ensure that the productivity gains are shared fairly between labor and capital, supported in part through appropriate fiscal tools. According to BofA Global Research, governments would need to accelerate efforts to refine top-down policy guidance for private companies, encouraging responsible and inclusive AI deployment rather than strategies focused solely on cost-minimizing automation. Countries that act swiftly are better positioned to turn disruption into dividends.

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